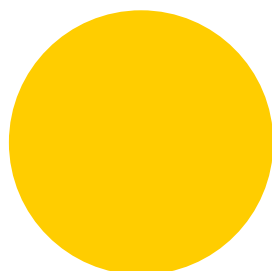


**CONSOLIDATED HALF-  
YEAR ACCOUNTS**

**30 JUNE 2023  
BPIFRANCE GROUP**





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# I. HALF-YEAR BUSINESS REPORT

## Bpifrance Group at 30 June

### 1. BUSINESS ACTIVITIES

#### 1.1. Presentation of the missions and business lines

A public group serving the financing and development of businesses, Bpifrance acts in support of the policies conducted by the State and the Regions. The law No. 2012-1559 of 31 December 2012 tasks it with promoting innovation, start-up, development, internationalisation, transfer and transmission of businesses, by contributing to their financing through loans and equity.

Bpifrance is a credit institution and a holding company that acts through its subsidiaries, Bpifrance Régions (which operates the Financing activities, together with the credit institution), Bpifrance Participations, Bpifrance Investissement and Bpifrance Assurance Export).

As a credit institution, Bpifrance is subject to banking regulations (Order of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sector subject to the supervision of the Prudential Supervisory and Resolution Authority (Autorité de contrôle prudentiel et de résolution)), which imposes numerous obligations on it, such as operating under market conditions, without abusive support or ruinous credit, with a risk prevention system (financial, image and operational), separation of roles, monitoring measurement systems and risk control. Bpifrance and its subsidiary Bpifrance Régions are supervised by the Prudential Supervisory and Resolution Authority and subject to direct prudential supervision by the European Central Bank<sup>1</sup>.

Bpifrance is a neutral player in the marketplace, whose role is to bring together all financing partners for the benefit of companies, banks first and foremost, as well as innovation development networks by co-financing with private banks.

Bpifrance provides financing to companies in their riskiest phases, such as business creation or transfer, innovation, international development, as well as in the context of capacity investments, while respecting the rules of competition law and private players. To do this, it relies on allocations from public actors at different levels: State, local authorities (especially the Regions) and the European Union.

Its public interest mission requires Bpifrance to intervene as close as possible to the territories, in favour of VSEs, SMEs and intermediate-sized enterprises, regardless of their legal status (including SSE companies<sup>2</sup> and local public companies<sup>3</sup> performing a commercial activity), in all sectors of activity, except financial services.

Its public stature also implies a special welcome for companies in each Region, a search for solutions with all partners, more patience, an adapted remuneration.

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<sup>1</sup> List published by the European Central Bank in accordance with Article 49(1) of Regulation (EU) No 468/2014 of the European Central Bank (ECB/2014/17)

<sup>2</sup> Companies with status (cooperatives, SCOP, mutual insurance companies, associations) or with a high social impact

<sup>3</sup> SEM, SPL, SPLA



Bpifrance is subject to State aid regulations (guarantee funds, research, development and innovation, subsidised loans) which prohibit in particular the financing of companies in proven difficulty or those that are not up to date with their social and tax contributions.

The business lines of Bpifrance and its subsidiaries are presented below:

### 1.1.1. Financing

Bpifrance has a role as a local bank: in partnership with banking and financial institutions and Regional Councils, Bpifrance supports:

- Tangible and intangible investments through interventions in the form of medium or long-term loans and leasing operations, real estate, equipment or financial leasing, particularly in renewable energy financing;
- Intangible investments, as well as the financing of working capital requirements, in the form of unsecured loans (Growth, Ecological Transition, Industry, Tourism, International, Transmission, Innovation), that are long and patient, without guarantee or security taken against the company or its managers.

Specific financing in partnership with the Regions, the Banque des Territoires or the EIB Group has also been developed to encourage investment in certain phases or strategic sectors: industry, tourism, climate, French Touch, VSEs, etc.

Bpifrance contributes to the financing of the operating cycle and finances the cash flow needs of small and medium-sized enterprises that are clients of public and private sector clients. Under the contracts financed, it issues signature commitments: sureties and first-demand guarantees.

### 1.1.2. Guarantee

Directly correlated to the financing granted by its partners, Bpifrance's guarantee is a crucial tool for encouraging banks to finance SMEs in the riskiest phases of their growth, especially in the creation, innovation or transmission phases. Bpifrance provides guarantees for bank financing (including leasing and financial leases) and support from equity investors:

- with regard to creation;
- with regard to innovation;
- with regard to development;
- with regard to environment;
- with regard to transfers;
- with regard to strengthening the cash flow;
- with regard to international actions, the risk of failure of French subsidiaries abroad (GPI).

The standard loan-to-value ratio is between 40% and 60%. As part of a recovery plan, the guarantee ratio is increased to between 60 and 70% on the Development, Creation and Transmission funds. The guarantee can reach 80% in cooperation with the guarantee funds set up by the Regions with Bpifrance Régions.

The guarantee is the preferred tool for intervention, particularly with the smallest companies, as it is implemented in partnership with private banks, which are authorised to decide immediately on granting up to €200,000, or by requesting Bpifrance for higher amounts.

The student loan guarantee, a scheme carried out on behalf of the State and greatly strengthened under the recovery plan, makes it possible to guarantee loans made by banks for students' benefit without the latter having to provide other guarantees.



### 1.1.3. Innovation

The innovation financing of companies falls into two main categories:

The mission of Bpifrance's innovation financing is to provide a response to the financing needs of individual or collaborative innovative projects, from the idea to the market, in cases where traditional financing fails or when a commercial bank needs to be involved.

To this end, Bpifrance provides a financing solution adapted to the company according to its distance from the market (grant, recoverable advance, R&D or zero-interest innovation loan, subsidised loan without guarantee, etc.) in close partnership with the players in the financing of innovation, particularly the Regions.

The financing activities for innovation companies can be divided into two main categories:

- Individual grants (in the form of grants, recoverable advances, R&D or zero-interest innovation loans) and unsecured loans (Seed Loans, Innovation Seed Loans, Innovation Loans, New Industry Loans), from the State Budget (mainly France 2030), the Regions, Europe, and Partners, and managed by the Bpifrance Network in all the Regions;
- Individual grants or grants for collaborative projects from the State Budget (mainly France 2030 and France Relance), provided as part of competitions (i-Lab and i-Nov) or calls for projects (for the structural part of France 2030: i-Demo, AAP 1ère Usine; for the directed portion of France 2030: the sectoral AAPs for France 2030's acceleration strategies and strategic objectives), in the form of grants and recoverable advances, managed by Bpifrance's Expertise Department.

Bpifrance has also developed a support offer for all phases of business growth (mainly start-ups and SMEs), including advice, training, contacts, international immersion missions and assistance in setting up international collaborative projects.

### 1.1.4. Investment Business Lines

#### 1.1.4.1. Tasks of the Investment Division Business Line

##### i. Tasks of the Investment Division business line

As part of the creation of Bpifrance, the investment doctrine was specified during the first half of 2013 and then adopted on 25 June 2013 by the Board of Directors of the Bpifrance Group holding company. This doctrine, which applies to all of the Investment division carried of Bpifrance (and therefore to Bpifrance Investissement), is summarized as follows:

Through its equity interventions, Bpifrance finances the development and growth of VSBs and SMEs, in line with the FSI France Investissement 2020 program, and aims at the emergence, consolidation and multiplication of mid-caps, an essential link to the competitiveness of the French economy and the development of exports.

Bpifrance's investments, in funds as well as in companies, are carried out selectively, in accordance with good professional practices, depending on the value creation potential (for the investor and for the national economy) of the companies or funds financed.

However, Bpifrance is not an investor like any other. Its character as an informed investor operating under market conditions in the service of collective interest leads him to complete the investment offer of market segments characterised by a lack of private funds.

As a result, Bpifrance devotes a significant part of its equity investments, from its own resources and those of third-party investors managed by Bpifrance, to the seed investment, venture capital, development capital and transfer capital segments, or to funds geared towards profitable companies in the social and solidarity economy but which, due in particular to their status, naturally attract few traditional investors. Bpifrance is also working to develop a mezzanine fund offer on the market as a complement or substitute for equity investments for companies whose shareholders would not like to open the capital to third-party investors.



In this context, all operations in which Bpifrance is involved are guided by the following principles:

- Bpifrance intervenes in order to create, via minority shareholdings, a spillover effect of private investment through public investment. Whether it invests its own resources or those of other public or private subscribers under its management, Bpifrance systematically seeks private co-investors to whom it leaves the majority of shares, in order to stimulate the investment market;
- Bpifrance is an informed investor operating under market conditions. When it co-invests, Bpifrance intervenes according to the same financial and legal provisions as the co-investors (*pari passu*). Wherever possible, it sits on the boards of directors of the companies in which it has invested and on the advisory and strategic committees of partner funds;
- Bpifrance is a patient investor. It adapts its investment horizon, particularly to the technological context of the company, and can accept that the profitability of its investments will materialise over a longer time horizon than most private investors. This is particularly the case in high-risk market segments (start-up, venture capital, R&D intensive). It supports the companies in which it invests over the long term, which does not exclude rotation of the asset portfolio in synergy with private co-investors, with a view to good risk management, freeing up room for manoeuvre to finance new investments and increasing the value of its assets;
- Bpifrance is at the service of the collective interest. In addition to the necessary assessment of the financial performance of companies (profitability, sustainability, liquidity), its investment decisions are made with regard to the impact of projects on the competitiveness of the French economy, assessed using a multi-criteria analysis grid, integrating extra-financial criteria such as export and international development potential, contribution to innovation, ESG (environmental, social and corporate governance) practices, effects on employment and regional development, role in the sector, development of family businesses, etc.
- In order to ensure that its investments effectively contribute to the growth and development of companies, Bpifrance gives priority to bringing new money to the companies in which it invests, alongside other investors. However, Bpifrance considers taking over from private equity or delisting a target through a share buyback, particularly in the following three cases:
  - The generational transmission of an SME;
  - The exit of some of the historical investors in companies with strong growth potential, especially innovative ones;
  - The purchase of participations to maintain a significant presence of French investors in the capital of companies considered sensitive or strategic.
- Bpifrance does not invest in the capital of certain categories of companies:
  - Companies dedicated to financing infrastructure construction projects. On the other hand, Bpifrance can invest in companies involved in the construction or operation of infrastructure;
  - Companies whose main activity is real estate development or property management;
  - Banks and insurance companies;
  - Opinion media and polling organisations in order to prevent conflicts of interest and maintain neutrality;
  - Semi-public companies (SEM) which may also be the subject of investment by the Caisse des Dépôts.

Any investment decision likely to lead to competition with other Caisse des Dépôts Group entities will be subject to specific coordination.

- Bpifrance may exceptionally intervene in the Turnaround Capital segment, which aims to turn around companies in difficulty, particularly for SMEs and the smallest of the intermediate-sized enterprises, taking special precautions. Indeed, this type of investment is by nature contrary to Bpifrance's guiding principles for three reasons:

- They generally require a majority investment in order to have disposal to all the levers of action;
- Public investments in companies in difficulty are subject to a presumption of State aid and must therefore be notified to the competition authorities, leading to longer delays and even a risk that the investment operation will not be carried out;
- The restructuring of companies in difficulty would subject Bpifrance, a public investor, to significant image risks.

In view of these factors, Bpifrance will favour investments in Turnaround Capital by investing in minority shares, alongside private investors, in funds managed by specialised independent teams.

In its application, this doctrine also takes into account the logic of socially responsible investment and promotes it among its partner funds and the companies financed within a clear ethical framework.

### Exception for Fintechs

- Although investments in the capital of banks and insurance companies are not authorised in general, Bpifrance Investissement may nevertheless invest in Fintechs with banking or insurance authorisations. A Fintech is any company that meets all the following conditions:
  - Start-up or fast-growing SME;
  - Possessing or in the process of developing an innovative technology or business model, allowing it to differentiate itself from traditional players whose business model is largely based on the intensive use of their balance sheet;
  - Offering financial products or services, and/or products or services for the financial sector.

Investments in these Fintechs will aim to acquire participations in companies with technological or strategic interest for Bpifrance's businesses, in a corporate venture approach, and/or to contribute to the emergence of European champions. Equity investments must systematically be minority and made alongside a regulated or financial player, and Bpifrance Investissement must not be or become the largest shareholder in the category encompassing both regulated and financial investors, nor a reference shareholder in such companies.

Any investment decision likely to lead to competition with other Caisse des Dépôts Group entities will be subject to specific coordination.

## ii. Investment business lines

Bpifrance's investment activities are structured around out three business lines:

- **The Capital Development business line** invests directly in equity, quasi-equity and debt to support SMEs, intermediate-sized enterprises and large French companies in their development and growth projects. With 53 regional offices throughout France, the 160 professional investors in this department play an active role as minority investors seeking long-term sustainable and responsible performance for their participations.



This department includes the activities of:

- **Large-Cap and Sovereign Wealth Fund Partnerships**, in order to support the development of mid-cap and large French companies and to partner with long-term investors and sovereign wealth funds (€16.8bn under management);
- **Mid-Cap**, in order to accelerate the growth of independent SMEs and mid-caps with high potential (€2.2bn under management);
- **Small-Cap**, in order to grow SMEs and mid-caps in our regions (€2.2bn under management);
- **Specialised Funds (Tourism, Environmental Impact Funds, FAA, Lac I)**, in order to address specific identified needs through management on behalf of third parties (€5.6bn under management).

In total, the Development Capital portfolio consists of more than 660 investments with assets under management of €26.8bn<sup>4</sup>.

- The **Fund of funds business line** primarily invests in and monitors partner funds subscribed via funds of funds managed on its own account, as part of the SME Innovation (FPCR 2000, FCIR, FFT3 and FPMEI), and France Investissement (FFI-A, FFI-B, FFI II, FFFI III, FFI IV, FFI V, FFI VI) programmes

The Fund of funds business line also manages funds on behalf of third parties:

- Programme d'Investissement d'Avenir, the France 2030 Plan:
  - Fonds National d'Amorçage (FNA) and Fonds National d'Amorçage N°2 (FNA 2);
  - Fonds de Fonds MultiCap Croissance (FFMC2), Fonds MultiCap Croissance N°3 (MC3) and Fonds MultiCap Croissance N°4 (MC4);
  - Fonds de Fonds de Retournement (FFR);
  - Fonds le Fonds Quartiers Prioritaires (FFQP);
  - Fonds de Fonds Edtech (FFE);
  - French Tech Acceleration Fund and French Tech Acceleration 2 Fund, co-managed with the Innovation Department;
  - Fonds Accélération Biotech Santé (FABS), co-managed with the Innovation Department and the Industrial Projects Equity Department;
  - ICC / Tech & Touch Fund, co-managed with the Innovation Department.
- Caisse des Dépôts Group:
  - FFI 3+;
  - Mandat Paris Green Fund;
  - Digital 1 Fund of Funds and Digital 2 Fund of Funds.
- Growth Fund of Funds, underwritten by the CDC and insurers;
- Fonds France Relance Etats-Régions (FFRER) as part of the Facilité pour le Reprise et la Résilience recovery plan and the Plan National de Relance et de Résilience (PNRR);
- France PME Régions underwritten by Allianz;
- Mandat APE, as part of the Aeronautics Support Plan;
- Fonds d'Avenir Automobile 2, co-managed with the Capital Development Department;
- Secondary funds and mirrors of funds aimed at private individuals:
  - Bpifrance Hexagone 1;
  - Bpifrance Hexagone 2.

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<sup>4</sup> Excluding €1bn of LAC debt





Since 2020, the Funds of Funds business line has been managing an activity aimed at private individuals. Two generations of funds have already been marketed: Bpifrance Entreprises 1 and Bpifrance Entreprises 2.

- **The Innovation Capital business line** invests directly in French start-ups and scale-ups positioned in sectors of the future, in particular biotechnology, environmental technologies, digital and creative industries. Investment teams are structured by investment divisions dedicated to sectors or stages of intervention and act on behalf of funds held in equity by Bpifrance Participations, or held by third parties (including some funds from the Investing in the Future Program).

The business line is structured around investment units distinguished by sector or stage of intervention:

- The **Large Venture** unit, which invests via Bpifrance Participations and the Bpifrance Innovation I - Large Venture 2 fund in all areas of innovation (mainly fast-growing companies in the digital and life sciences sectors), with investments of €10m or more;
- The **Digital Venture** unit, which invests via the Ambition Numérique and Ambition Amorçage Angels funds and the Bpifrance Innovation I - Digital Venture Seed & Digital Venture AB funds in digital start-ups at the seeding and series A and B stages;
- The **Life Sciences** unit, which operates in the Biotech and Medtech sectors via the InnoBio 1 and 2, Innovative Biotherapies and Rare Diseases, FABS and Bpifrance Innovation I - Medtech funds;
- The **Autonomous Patient** unit, which operates in the digital health sector through the Autonomous Patient fund;
- The **Ecotechnologies** unit which intervenes via the Ecotechnologies 1 and 2, Ville de Demain and Bpifrance Innovation I - Impact funds;
- The **French Tech Acceleration** unit, which intervenes via the FTA and FTA2 funds to support accelerators and accelerator investment funds;
- The **Innovation Transverse Venture Capital** unit, which operates through the PSIM, Definvest, and the Innovation Défense and French Tech Seed Funds;
- The **Cultural and Creative Industries** unit which intervenes via the following funds: The Excellence Know-how Fund (Fonds pour les Savoir-Faire d'Excellence (FSFE)), Fashion and Finance 2 (Mode et Finance 2), Heritage and Creation 2 (Patrimoine et Création 2), Bpifrance Mezzanine I, Bpifrance Capital I and Tech&Touch.
- The **Industrial Project Investments** unit, which manages the SPI and SPI2 funds, to support Deeptech start-ups with equity capital until industrialisation.

The Innovation Support teams are grouped within **Bpifrance Le Hub** and work mainly with start-ups in Bpifrance's portfolio.

Finally, Bpifrance was involved in the deployment of the new **French Tech Sovereignty Fund**.

#### 1.1.4.2. How the various investment business lines operate

The investments of the Bpifrance Group are made either directly by Bpifrance Participations or indirectly through partner funds. The modes of intervention differ according to the business lines, as follows:

- a) Mid & Large Cap investments are made directly by the Bpifrance Participations teams, on the balance sheet of the investment holding company for investments in large companies (GE), new investments in intermediate sized enterprises (ETI) are made through the ETI 2020 fund, raised in the first quarter of 2014. Investments in tier 1 and tier 2 automotive suppliers are made by FAAs, and investments in equity and mezzanine debt in the mid-market are made by Growth funds;
- b) The SME Equity and Fund of Funds business lines invest mainly through funds. These funds are mainly financed via an intermediary holding company (FSI PME Portefeuille, wholly owned by Bpifrance Participations) and managed by the management company Bpifrance Investissement;

- 
- c) Innovation Capital made its investments both through funds managed by Bpifrance Investissement and directly on the balance sheet of Bpifrance Participations through the Large Venture and Direct Innovation activities;
  - d) The Industrial Projects Equity business line invests in minority stakes, alongside corporate investors, in industrial project companies aimed at supporting the development of industrial sectors in key sectors for the economy of the future (energy transition, circular economy, etc.).

### **1.1.5. International**

Bpifrance's Export Department is structured around three business lines:

#### **1.1.5.1. Export Insurance**

Since 1 January 2017, Bpifrance ensures through Bpifrance Assurance Export the management of public export guarantees in the name of, on behalf of and under the control of the French State. Before that, this activity was carried out by Coface.

The guarantee is granted directly by the State, thus demonstrating the French State's support for exporters. These guarantees to exporters are intended to encourage, support and secure French exports financed over the medium- and long-term as well as French investments abroad.

More specifically, Bpifrance Assurance Export offers a range of solutions to support the prospecting of foreign markets, to facilitate the issuing of guarantees and the granting of pre-financing by banks, to secure exports and investments abroad, to make the financing offered to foreign clients competitive and to protect against currency fluctuations.

Bpifrance Assurance Export manages public guarantees in strict compliance with the international rules of the World Trade Organisation, the European Union and the OECD.

Bpifrance Assurance Export is organized into four divisions:

1. Key Accounts;
2. Mid-Sized Companies (Mid-caps) and SMEs;
3. International relations, development of the offer and rating;
4. Claims, consolidations and recovery.

#### **1.1.5.2. Export financing**

In an increasingly competitive international environment, French companies must support their technical and commercial tenders with financing proposals in order to win markets that will be the relays of their future growth.

Since 2015, the Export Finance Department has been offering medium-long-term financing solutions to exporting companies domiciled in France for their foreign buyers, whether they are state, public, private or project companies.

Regardless of the sector of activity (transport, energy, water, defence, industrial equipment, etc.) and the continent of destination, Bpifrance's Export Finance Department offers export credits, with the cover of Bpifrance Assurance Export, in the form of

- Purchase of supplier credit (from €1 to €25m);
- Bilateral buyer credit (from €5 to €25m) or equity (up to €75m).

This allows exporters to mitigate counterparty risks while offering their buyers competitive, long-term financing solutions.



### 1.1.5.3. International development

The aim of the Export Development department is to increase the international market share of French companies. Based in France and abroad, the Bpifrance and Business France teams supported 4,154 companies through international missions and bespoke prospecting initiatives.

- Every year, Business France and its export partners organise more than fifteen international missions in 7 specific mission formats;
- The presence of the Bpifrance international team\* helps strengthen business flows in all strategic sectors on 5 continents through meetings with public and private buyers with the support of the best local partners and experts;
- The Export Development team has a comprehensive role: it offers its customers a full range of financing, insurance, investment, and support solutions to meet the needs of companies at various levels of maturity;
- Bpifrance has 9 international offices: Mexico City, New York, Abidjan, Casablanca, Nairobi, Dakar, Düsseldorf, Dubai, and Singapore.

The International division also consists of the **Department of International and European Affairs**.

The Department of International and European Affairs is an operational and transversal directorate. In collaboration with all of Bpifrance's management teams, it strives to contribute to the influence of the Group and its model, as well as to the development of its businesses internationally. It invests and develops networks and partnerships with multiple actors: institutions, investors, support structures, associations, companies, public authorities. To this end, the Department is structured around 5 dedicated teams in constant contact with all our partners.

The team of fund-of-funds investors in Africa, Averroès Africa, currently manages 4 investment vehicles and monitors 27 participations. Its objectives are to participate in the growth of private equity on the continent, the profitability of its investments and the development of the business relationships of its underlying portfolio with French companies, within the framework of Bpifrance's policy in favour of sustainable development.

The EuroQuity team runs a digital platform for connecting companies and their development partners, in France and internationally, particularly in Europe and Africa.

The International Expertise team provides technical assistance to foreign institutions and governments wishing to expand development banking activities or products based on the Bpifrance model. It works particularly in Africa, Europe and Middle East.

The Europe and International Relations team ensures Bpifrance's lobbying and regulatory monitoring with European authorities and mobilizes European financial resources for the benefit of Bpifrance and French companies. It builds and encourages partnerships with Bpifrance's counterparts and any other foreign entity.

Finally, the mission of the Sovereign Wealth Funds & Long-Term Investors team is to develop our relationships with international investors, within the framework of partnership agreements or management on behalf of third parties, so that they invest in French companies, in particular through vehicles managed by Bpifrance Investissement. It also ensures that Bpifrance is recognized as a sovereign wealth fund among its peers.

In 2023, the International and European Affairs Directorate continued the effort to develop its activities in Europe, Africa and the Middle East, to promote the Bpifrance model, attract funds for the benefit of French companies, and facilitate the connection between the latter and potential partners.



### 1.1.6. Business Support

Bpifrance's Support business line is managed by an Executive Department, which provides a comprehensive range of services (advice, training, and networking). This department is structured into 7 divisions reporting directly to the Executive Director. It works with Le Hub and Bpifrance Excellence, which report to the Executive Director, as well as with the consulting team at the Innovation Development and Support Division.

In 2022, the Executive Support Department will be reorganised into 7 departments, which will all work together in an interdisciplinary manner:

- 1) Development: designs support products, improves the existing range, negotiates and enters into agreements with partners (the State, the CDC, Regions, Europe, professional organisations, etc.), manages the preparation and monitoring of the strategic support plan;
- 2) Accelerators: disseminates information about new products and programmes, creates and distributes marketing materials, trains influencers and drives marketing, organises the implementation of Accelerator programmes;
- 3) Consultancy and operational management: participates in the design and implementation of Consultancy and Diag'Actions projects, manages Consultancy and Accelerator activities, shapes and manages the pool of external consultants and consultancy firms;
- 4) Programmes / University of Leaders courses: Defines the content and formats of training courses for managers, both face-to-face and digital, inside and outside the Accelerators, and signs contracts with service providers;
- 5) Support School: ensures and certifies the quality of internal and external coaching staff in terms of technical skills and orientation;
- 6) Steering and Management: manages administrative follow-up with customers (contracts, invoices) and calls for funds from partners, collects and produces activity indicators for reporting, monitoring, and analysis purposes;
- 7) Expertise Centre: works transversally with the Support Departments on 3 strategic areas: Climate, Industry of the Future, and Industrial Start-Ups and SMEs.

At the same time, the drive to decentralise Support is continuing, with the deployment of 18 advisory managers in the regions, as well as the full appropriation of the Support business line by the Bpifrance network, with 18 regional Support managers or Business managers by the end of 2022.

### 1.1.7. Business creation

Bpifrance's mission is to support and strengthen national and local action in favour of business creation by entrepreneurship support networks throughout France, in particular in Priority Urban Areas (PUA), with the aim of increasing:

- The territorial coverage and clarity of the networks' support offer;
- Support for project leaders and entrepreneurs;
- Initiatives to raise awareness and promote entrepreneurship among various target groups, particularly young people and women.

To carry out these missions, Bpifrance supports the actors involved in supporting business creation in order to better:

- Raise awareness, prepare and direct project sponsors;
- Support and finance these projects, in particular through unsecured loans and bank loan guarantees;
- Work for everyone, throughout the country;
- Monitor developments in business creation and professionalise support networks to better meet the entrepreneurs' needs.



## 1.2. Business activities during the first half of 2023

### 1.2.1. Credit activity (including innovation loans, digital loans and export credit)

#### Medium Long Term

Excluding the Covid support plan, new loan production increased slightly in the first half of 2023 compared with the first half of 2022 (€4.9 billion at 30 June 2023, compared with €4.8 billion at 30 June 2022), primarily due to the strong dynamics of the Financing business line's environmental energy loans over the period (€1 billion, or +80% compared with 30 June 2022) as well as the export credit business line (€270 million at 30 June 2023, compared with €36 million at 30 June 2022).

#### Short-Term

As regards short-term financing, it continues its planned decline for the financing of the employment tax credit (CICE) (-79.1%) but is up by 4.6% for the financing of trade receivables (Advance +) in the first half of 2023 compared with the first half of 2022.

### 1.2.2 Aid for Innovation

Innovation financing through grants recorded a sharp increase of €4.0 billion (€5.4 billion euros in agreements at 30 June 2023 compared with €1.4 billion euros at 30 June 2022), mainly due to the deployment of the Acceleration Strategies (€1.1 billion) as well as two Important Projects of Common European Interest (IPCEI):

- Nano: €2.8 billion for the Liberty project;
- Hydrogen: €820 million.

### 1.2.3. Guarantee

Guarantee activity was up by 10.6% on traditional funds (including regional guarantee funds), with €2.3 billion in authorisations at end-June 2023. The trend is positive for Creation funds (up by 12% compared with end-June 2022), Development funds and, to a lesser extent, Transmission and Short-Term funds.

### 1.2.4. Investment

At mid-year 2023, €1.8 billion had been invested by the various Investment business lines, down 28% compared to the figure at 30 June 2022.

This figure breaks down as follows by business line:

- More than €0.9 billion was invested in expansion capital, a decrease of 36% compared with the figure at 30 June 2022; this was mainly due to lower activity in the Lac 1 fund, which continued to invest in 3 holdings already in its portfolio in 2022. The fund was more active in mid-2022, in particular with two new investments;



- In a difficult venture capital market, the various Innovation business lines generated €0.3 billion at mid-year (down 21% compared with 30 June 2022). This fall in activity is concentrated in Large Venture, which has mainly carried out reinvestment transactions since the beginning of the year, whereas the first half of 2022 was marked by two exceptional transactions worth €160 million;
- After recording close to €0.7 billion in subscriptions by mid-2022, the activity of the Fund of Funds business line was down to almost €0.6 billion at 30 June 2023, in line with the tensions on the innovation capital market (withdrawal of some investors, more complex fundraising operations, etc.);
- The various Investment business lines generated €0.7 billion in cash from disposals and redemptions of directly-held lines as well as distributions by partner funds, down 33% compared to mid-2022;
- The various development capital business lines recorded more than €0.3 billion in proceeds from disposals and redemptions, down more than 40% compared with 30 June 2022; however, the significant disposals of the Large Cap portfolio in 2023 should be completed in the second half of the year. Small and mid-cap funds continue to be very active in terms of investments and disposals;
- More than €90 million in disposals was recorded by the various Innovation business lines (+26% compared with 30 June 2022). This growth was driven by a €44m disposal by the Life Sciences and Ecotechnologies teams;
- After achieving a record high in mid-2022, distributions by partner funds were down to almost €0.3 billion as of the end of the first half of 2023, a decline of 30% compared with the first half of 2022.

### 1.2.5. Support

In the first half of 2023, the number of new accelerated companies remains high at 437 compared to 516 in the first half of 2022. The number of consultancy assignments is also high at 3,007, up sharply by +978 or +48.2% over the period.

### 1.2.6. Creation

In the first half of 2023, 9,365 unsecured loans were disbursed compared to 7,346 in the first half of 2022 (+27.5%).

### 1.2.7. Export insurance (on behalf of the State)

In Credit Insurance, the level of activity remains high with 82 guarantee applications accepted for a total of €8.7 billion.



## 2. COMMENTS ON THE RESULTS

### 2.1. Loans to clients

At 30 June 2023, outstandings from all financing activities were stable at €47.9 billion, compared to €47.8 billion at 31 December 2022.

Lease purchase transactions (excluding collective impairment) were up slightly at €6.2 billion, compared to €6.1 billion at 31 December 2022.

Collective impairment totalled on the outstanding balance sheet was €464.2 million at 30 June 2023.

### 2.2. Financial assets at fair value through equity

The portfolio of financial assets at fair value through equity increased by €1.5 billion, from €15.2 billion at 31 December 2022 to €16.7 billion at 30 June 2023.

Changes in value in this category totalled €+1.3 billion in the first half of 2023.

### 2.3. Holdings in equity-consolidated companies

At 30 June 2023, the increase in this item in the amount of €0.3 billion is due in particular to the net result of the company STMicroelectronics.

### 2.4. Commitments made to clients

At 30 June 2023, the Bpifrance Group's commitments made to clients totalled €23.7 billion, compared to €22.1 billion at 31 December 2022.

The commitment to guarantees is slightly up at €13.9 billion compared to €13.1 billion at 31 December 2022.

### 2.5. Income Statement

Overall, the net result at 30 June 2023 is strong, at €833 million, representing two-thirds of the budget for the whole of 2023. It amounted to €1,030 million at 30 June 2022.

Net banking income totalled €1,128 million in the first half of 2023, down by -21.2% compared to the first half of 2022 (€1,432 million). This decrease is primarily due to the change in the estimated difference between funds and other securities at fair value through profit or loss (-€32 million at end-June 2023, compared with €275 million at end-June 2022).

Reversals of expected risks, which totalled €107.6 million at 30 June 2023, showed a sharp increase of €159.9 million over the period (-€52.3 million at 30 June 2022). This high level of recovery is primarily due to the updating of forward-looking scenarios.





The short-term macroeconomic outlook appears to be better at the end of June 2023 than it was at the end of December 2022, resulting in a reduction in the provision calculated by the model.

The contribution to net income from equity affiliates amounts to €242 million at 30 June 2023 and includes in particular the contribution of ST Microelectronics for €237 million, which includes an impact of -€72 million generated by the optional component of the exchangeable bonds issued by the company. Note the negative contribution from Eutelsat of €19 million, linked to an additional provision of -€87 million. Soitec's contribution to net profit was €16 million.

### **3. THE RISKS**

#### **3.1. Credit risk**

As a banking institution, Bpifrance is exposed to credit risk on its corporate financing transactions. This includes:

- default risk: the risk that a creditor will permanently lose its claim to the extent that the debtor cannot, even by liquidating all its assets, repay all its commitments;
- migration risk: the potential loss resulting from the downgrading (or rating downgrade) of an internal/external credit instrument or counterparty, as well as the potential indirect losses that may result from a credit migration event;
- single name concentration risk: the risk arising from exposure to counterparties considered to be the same group of related clients
- sector concentration risk: the risk arising from exposure to counterparties operating in the same economic sector.

Bpifrance mainly deploys its financing activities for French companies of all sizes (from very small businesses to large corporations), through a wide range of asset classes (debt financing, loans, guarantees) and commitment horizons (short to long term). In the financing that it grants, Bpifrance ensures that risk-taking is limited by means of (i) the implementation of co-financing involving risk-sharing with a commercial bank, (ii) the implementation of collateral or guarantees.

Bpifrance manages its individual and global credit risk exposures based on a granting policy that defines the characteristics of credit files and the levels of delegation according to the size of the commitment or the sensitive and/or specific nature of the transaction. Credit decisions are based on a synthetic, comprehensive and regularly updated analysis, the Decision Support Tool and the Fiben ratings provided by the Bank of France. They are made on the basis of objective criteria, with a long-term perspective, a desire for diversification, and by anticipating and taking into account changes in client ecosystems. These decisions are monitored and reviewed on a regular basis. The Bpifrance Group is particularly vigilant about risk concentration (by client, sector, rating) and is careful to maintain a diversified portfolio.

All Bpifrance commitments (financing, guarantee and innovation operations) involving credit risks are subject to an initial analysis by the Financing and Network Management Department, which is responsible for monitoring and client relations. The Credit Risk Department is responsible for the counter-analysis of files that fall within the jurisdiction of the Credit Risk Committee and the Credit Committee of Bpifrance, and presents them to these committees for decision.

On the basis of IFRS standards, at 30 June 2023, Bpifrance's maximum exposure to credit risk was €92,789.0 million, compared with €89,980.2 million at 31 December 2022.





## 3.2. Financial risks

### 3.2.1. risk of impairment of its listed and unlisted investments

As part of the investment activities of Bpifrance Participations, the Bpifrance Group is exposed to the risk of impairment of its listed and unlisted investments.

In addition, the structure of the Bpifrance Participations subsidiary's portfolio exposes it to the variability of the fair value of investments that could lead to a direct capital loss. The value of the equity investments held by Bpifrance could decline, forcing the Bpifrance Group to recognise impairment charges in its consolidated financial statements, which could have a material adverse impact on its results and financial position.

### 3.2.2. Liquidity risk

The liquidity risk corresponds with the Bpifrance Group's inability to meet its obligations at an acceptable price, for a given location and currency. This risk can occur in case of non-concomitance of the cash flows. The refinancing risk (an integral part of the liquidity risk) arises when the funds needed to finance the non-liquid assets cannot be obtained within acceptable timeframes and at acceptable prices.

The Group's liquidity risk is monitored as part of a liquidity risk management policy defined in the Group Risk Management Policy approved by the Board of Directors. The liquidity situation of the Bpifrance Group is assessed on the basis of internal standards, alarm indicators and regulatory ratios.

The system in place, specifically defined as part of the ILAAP (Internal Liquidity Adequacy Assessment Process), provides the Bpifrance Group with the necessary liquidity to meet its short-term and medium/long-term liquidity obligations. These measures should enable the Bpifrance Group to fulfil its regulatory obligations.

### 3.2.3. Interest rate risk

The interest rate risk is the risk that Bpifrance may incur losses due to an unfavourable change in interest rates, particularly in the event of an imbalance between the interest rates generated by its assets and those due on its liabilities. Bpifrance generates a significant portion of its earnings in the form of net interest margin and as such remains highly exposed to interest rate fluctuations and changes in the yield curve, particularly in its Financing activities.

Interest rate risk management aims to control the level of change in Bpifrance's interest rates so as to contribute to its development while smoothing out the impact of any unfavourable movements in interest rates over the net interest margin, both in terms of short-term impact on NBI (revenue risk) and on the present value of future cash flows (value risk).

The institution's interest rate risk is assessed using several indicators, calculated and presented monthly at the ALM Committee of Bpifrance.

Interest rate risk is also reviewed quarterly by the Risk Committee and by the Board of Directors, after presentation to the Group Risk Management Committee.



### 3.2.4. Exchange rate risk

Bpifrance is exposed to foreign exchange risk, which is the risk that changes in currency exchange rates will adversely affect the value of the instruments and therefore generate losses on capital borrowed or loaned in currencies other than the euro.

Foreign exchange risk is sub-divided into two categories:

- Structural exchange rate risk is incurred on long-term investments in foreign currencies and/or equity consolidated in foreign currencies in shareholder's equity. At present, this concerns the activities of Bpifrance Participations;
- The operational currency risk is incurred by financing activities such as loans, borrowing and placements, which generate revenue and costs in foreign currencies (NBI, costs, risk cost) and/or by positions arising from the backing of assets and liabilities in different currencies. This is essentially refinancing activities in foreign currencies and export financing.

Bpifrance has no direct appetite for this type of risk. It is therefore desirable that foreign currency positions remain at a marginal level of exposure in view of the size of Bpifrance's balance sheet.

The measurement of operational currency risk is presented monthly to the ALM Committee of Bpifrance. The measurement of operational foreign exchange risk is presented quarterly to the Group Risk Management Committee. If the defined alert threshold is exceeded, the Finance Department informs the ALM Committee that the alert threshold has been exceeded and the corrective actions taken to remedy the situation. Information is presented to the Group Risk Management Committee to report on the crossing of the threshold and the corrective actions taken.

### 3.3. Operational and non-compliance risks

The Bpifrance Group's operational risk is the risk of loss resulting from faulty or inadequate internal processes (in particular those involving staff and IT systems) or external events, whether deliberate, accidental or natural (floods, fires, earthquakes, terrorist attacks, etc...). Operational risk covers fraud, risks related to human resources, legal and reputational risks, risks of non-compliance, risks related to information systems, the provision of inappropriate outsourced services as well as risks of failure of operational processes including credit processes, or the use of a model (model risk).

The Bpifrance Group has a governance and operational risk management system, the main purpose of which is to ensure overall control of operational and non-compliance risks as well as to provide reasonable assurance that the objectives set by the Group are achieved. The framework linked to this system is defined in the Bpifrance Internal Control Charter, which constitutes the reference framework for internal control within the Group. The Operational Risk Management Policy (PGRO) applies in strict compliance with regulatory obligations and is aligned with the classification of operational risks established by the Basel Committee (article 324 of regulation 575/2013 of the European Parliament). At the level of the second line of defence, the Compliance and Permanent Control Department, and more specifically the Operational Risk Department within it, is responsible for the organisation and functioning of the operational risk and non-compliance control system.



### 3.3.1. Cybersecurity, interruption, and malfunction risk

The Bpifrance Group is faced with cyber risks, i.e., the risk caused by a deliberate act of sabotage by a third party affecting the integrity of the Group's information systems, with the aim of harming the company; a cyberattack by a third party on the Group's information systems with the aim of misappropriating Group securities or funds. Cyber risk constitutes one of Bpifrance's priorities in terms of operating risks. The Bpifrance Group's information assets are exposed to new, complex and changing threats that could have a significant impact on the Group in terms of both finances and reputation. The professionalisation of the criminal or state organisations behind cyberattacks has led the regulatory and supervisory authorities to invest in risk management in this field.

The Bpifrance Group is also exposed to the risk of interruption or operational malfunction of a clearing agent, foreign exchange markets, clearing houses, custodian banks or any other financial intermediary or external service provider that it uses to execute or facilitate its financial instrument transactions.

In order to cope with these new challenges, Bpifrance has adopted a global approach to digital risk and has defined a security, protection and resilience framework for the bank's information systems in order to ensure their availability, confidentiality, integrity and traceability. Cybersecurity risk cuts across all of the Group's activities. The Information Systems Security (ISS) imperative is part of the Corporate Responsibility approach. Therefore, the main ISS challenges for Bpifrance are to:

- Protect the information systems and the data entrusted to them against any form of accidental or intentional threat;
- Contribute to the overall performance of information systems and the reputation of Bpifrance;
- Contribute to the sustainability of Bpifrance's activities and services and contribute to the overall resilience of critical processes; and
- Allow Bpifrance to implement appropriate security measures integrating the best cost/benefit ratios.

### 3.3.2. Fraud risk

Like the majority of companies, all sectors combined, the Bpifrance Group is faced with the risk of fraud, which can be committed both internally and externally. The risk of internal fraud includes unauthorized activities and acts of internal malice, such as the theft or misappropriation of property or valuables by an employee, as well as risks of corruption and fraud (collusion / bribes or bad in competition with suppliers, inadequacy of the system for combating corruption and influence peddling, etc.).

In terms of external fraud, the Bpifrance Group is exposed to the risk of embezzlement, falsification or concealment of documents or identity theft by a third party, also including the risk of cyber-attack or breach of integrity of computer systems. In particular, the Bpifrance Group has to deal with new, more sophisticated operating methods in terms of cyberattacks, as well as loan applications accompanied by fraudulent documents.

Several actions have been carried out in this regard, in particular through the strengthening of the first- and second-level permanent control mechanism, and the implementation of tools to combat the risks of document fraud, on means of payment and fraudulent transfers. A comitology dedicated to managing anti-fraud actions at the Group was also introduced in 2021, providing Management with visibility as regards the Group's level of exposure to this risk, as well as for deciding on and implementing corrective actions. As the proactivity of these teams in the event of fraud is crucial for the Group, awareness-raising actions for employees on this subject have been rolled-out in 2022, in particular through a compulsory e-learning course.



### 3.3.3. Non-compliance risk

Non-compliance risk is the risk of legal, administrative or disciplinary sanction, significant financial loss or reputational damage resulting from non-compliance with directly applicable national or European provisions appertaining to banking and financial activities, whether of a legislative or regulatory nature, whether covered by professional or ethical standards, or instructions in accordance with the Board's guidelines.

Bpifrance ensures that it (i) complies with all laws and regulations, particularly those relating to banking and finance, to which it is subject and (ii) establishes solid and effective relations with its supervisory authorities.

The Compliance and Permanent Control Department (DCCP) is responsible for supervising the system for controlling non-compliance risks. To this end, the DCCP steers the procedures, systems and controls implemented by the Group's companies to ensure that the Bpifrance Group's operations comply with the laws, regulations and rules of the market, particularly with regard to banking and financial regulations.

More specifically, Bpifrance has deployed a system to combat financial crime and thus prevent money laundering, terrorist financing and fraud. Procedures relating to combating money laundering and terrorist financing (AML/CFT) have been put in place; they notably involve dedicated training for all employees (managers and operational staff) on these issues. A tool dedicated to AML/CFT makes it possible, in particular, to enter information relating to customers, to file documents relating to "Know Your Customer" (KYC) and to make the data and links between the various client companies more reliable. A supplier evaluation system has also been put in place.

### 3.4. Other Risks

In addition to the risk categories set out above, Bpifrance is also subject to other risks, which are inventoried and assessed annually, in particular strategic risks or risks related to its ecosystem which might prove to be significant.

#### 3.4.1. Strategic risks

- Risks related to the income that would result from a drop in operating profits due to a change in Bpifrance's commercial and economic environment. A drop in operating profits could thus result from a drop in income coupled with insufficient elasticity in operating costs.
- Technological disruption risk related to the absence or poor choice of technological innovation or to processes that could entail a competition risk and a risk of disruption to Bpifrance's model.

#### 3.4.2. Ecosystem-related risks

- Regulatory risk linked to change in regulations and laws, including taxation, which could entail additional costs and an impact on the bank's activities;
- Political risk arising directly from the political context specific to France and in which Bpifrance carries out the largest part of its funding and investment activities;
- Climate risk: climate-related risks can be divided into two main categories:
  - Physical risk refers to the financial consequences that result from climate change through extreme and/or chronic hazards;
  - Transition risk is the risk of losses incurred, directly or indirectly, as a result of inadequate adaptation to a low-carbon economy.



With the acceleration of the transition to a more restrictive climate environment, the Bpifrance Group is adapting its activities appropriately in order to achieve its strategic objectives and avoid incurring losses. For example, through the Medium-Term Plan and its climate strategy, the Bpifrance Group is committed to accelerating the ecological and energy transition of companies and territories with support and financing solutions.

In addition, when the Bpifrance Group lends money to companies whose activities generate significant quantities of greenhouse gases, it finds itself exposed to the risk that pressure from extra-financial rating agencies, investors or NGOs, or even stricter limitations are imposed on its borrower, which could have a significant adverse impact on the credit quality of the latter and thus reduce the value of the Bpifrance Group's debt portfolio. The Bpifrance Group is gradually integrating the assessment of these risks into its risk management system. The monitoring of climate risks is indeed a particular challenge for Bpifrance in the context of its strategic objective of "Green Bank" and the Climate plan launched in 2020.

This Climate plan is a joint plan with the Banque des Territoires to accelerate the ecological transition businesses, contribute to the recovery and make business activity compatible with the carbon neutrality objectives of the Paris Agreement.

#### **4. FORESEEABLE CHANGES IN 2023**

At 30 June 2023, Bpifrance was outperforming its annual budget.

This advance will be confirmed in the second half of 2023 if the equity markets hold up and if the claims experience remains better than expected on credit risks.

## APPENDIX

### Key figures

#### 1. Key figures for Bpifrance in the first half of 2023

- Activity:

| Investment Activity            |               |               |              |               |               |
|--------------------------------|---------------|---------------|--------------|---------------|---------------|
| In millions of euros           | 2021          | 2022          | Change 2022  | H1 2022       | H1 2023       |
| <b>Assets under management</b> | <b>44,412</b> | <b>50,303</b> | <b>5,891</b> | <b>47,015</b> | <b>51,328</b> |
| Fund of funds                  | 13,479        | 16,998        | 3,519        | 13,785        | 17,447        |
| Small Cap                      | 2,413         | 3,050         | 637          | 3,015         | 2,914         |
| Innovation (incl. SPI Fund)    | 5,481         | 6,540         | 1,059        | 6,531         | 6,860         |
| Mid & Large                    | 23,038        | 23,716        | 678          | 23,684        | 24,107        |

| Banking activity                                      |       |       |             |         |         |
|-------------------------------------------------------|-------|-------|-------------|---------|---------|
| In millions of euros                                  | 2021  | 2022  | Change 2022 | H1 2022 | H1 2023 |
| Mid-long-term financing - Investment co-financing*    | 9,682 | 9,829 | 147         | 5,060   | 4,903   |
| Short-term financing - Mobilisation of Receivables    | 3,817 | 4,199 | 382         | 4,001   | 4,184   |
| Short-term financing - Pre-financing of the CICE      | 1,741 | 733   | -1,008      | 1,251   | 261     |
| Amount of risks guaranteed (excluding internal funds) | 3,093 | 4,109 | 1,016       | 1,941   | 2,170   |
| Amount of risks guaranteed by Bpifrance Régions       | 304   | 350   | 46          | 173     | 168     |
| Innovation Grants                                     | 3,826 | 3,875 | 49          | 1,405   | 5,404   |

\*Including PSG Innovation, Export Credit and Digital Credit

- Performance :

| Performance indicators - Bpifrance         |              |               |               |               |              |
|--------------------------------------------|--------------|---------------|---------------|---------------|--------------|
| In millions of euros                       | 2021         | 2022          | Change 2022   | H1 2022       | H1 2023      |
| <b>Net banking income</b>                  | <b>2,916</b> | <b>2,131</b>  | <b>-785</b>   | <b>1,432</b>  | <b>1,128</b> |
| of which Bpifrance Participations          | 1,914        | 1,162         | -752          | 917           | 670          |
| <b>Operating costs</b>                     | <b>-870</b>  | <b>-900</b>   | <b>-30</b>    | <b>-451</b>   | <b>-513</b>  |
| <b>Risk cost</b>                           | <b>-75</b>   | <b>-163</b>   | <b>-88</b>    | <b>-109</b>   | <b>21</b>    |
| <b>Operating income</b>                    | <b>1,972</b> | <b>1,068</b>  | <b>-904</b>   | <b>872</b>    | <b>637</b>   |
| <b>Contribution from equity affiliates</b> | <b>49</b>    | <b>499</b>    | <b>450</b>    | <b>267</b>    | <b>250</b>   |
| <b>Net income</b>                          | <b>1,829</b> | <b>1,503</b>  | <b>-326</b>   | <b>1,030</b>  | <b>833</b>   |
| In millions of euros                       | 2021         | 2022          | Change 2022   | H1 2022       | H1 2023      |
| <b>Change in value<sup>5</sup></b>         | <b>6,260</b> | <b>-1,741</b> | <b>-8,001</b> | <b>-2,036</b> | <b>3,550</b> |
| <b>Return on Equity<sup>6</sup></b>        | <b>6.4%</b>  | <b>5.5%</b>   | <b>-1.0%</b>  | <b>7.4%</b>   | <b>5.7%</b>  |

<sup>5</sup> The change in value corresponds to the annual change in revalued net assets, adjusted for dividends and capital injections (net income + change in unrealised capital gains/losses). The change in unrealised capital gains/losses corresponds to the change in the value of securities at Fair Value per equity and the changes in the market value of equity-consolidated companies.

<sup>6</sup> Net profit / IFRS equity

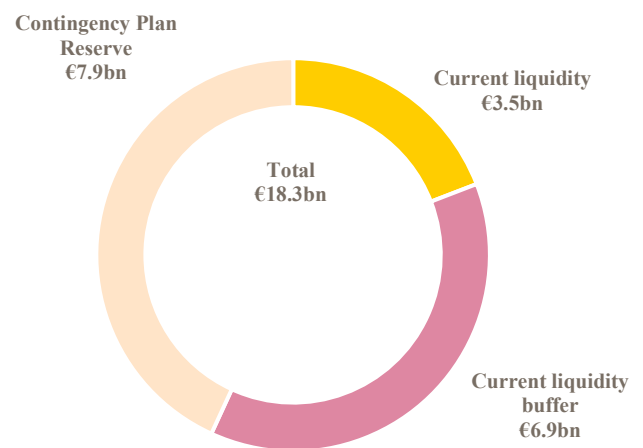
- Status of Solvency and Liquidity

|                     | 31/12/2021 | 31/12/2022 | 30/06/2023 |
|---------------------|------------|------------|------------|
| CET1 Ratio          | 30.52%     | 27.55%     | 29.71%     |
| Leverage ratio      | 20.88%     | 19.09%     | 20.66%     |
| LCR liquidity ratio | 425%       | 427%       | 488%       |

Risks weighted by Type



Liquidity reserve



Definition of liquidity reserves:

- **Current liquidity:** assets that can be mobilised in one day, comprising cash, money market funds, and a portfolio of sovereign bonds
- **Current liquidity buffer:** highly liquid financial and commercial assets that can be mobilised in less than a week
- **Contingency plan reserve:** financial assets that can be mobilised in the event of a proven stress situation

## 2. Financial figures at 30/06/2023 consolidated at the level of the Bpifrance public industrial and commercial establishment (EPIC)

| (in € millions)                                                                    | 2021            | 2022            | Change<br>2022/2021 | H1<br>2022      | H1<br>2023      |
|------------------------------------------------------------------------------------|-----------------|-----------------|---------------------|-----------------|-----------------|
| <b>SHAREHOLDERS' EQUITY<br/>- GROUP SHARE</b>                                      | <b>26,120.8</b> | <b>28,881.8</b> | <b>+10.6%</b>       | <b>27,447.7</b> | <b>23,447.8</b> |
| <b>RESULTS</b>                                                                     |                 |                 |                     |                 |                 |
| <b>Operating income before other revenue and expenses</b>                          | <b>-14.8</b>    | <b>-24.7</b>    | <b>-66.9%</b>       | <b>-9.6</b>     | <b>-34.3</b>    |
| Operating income                                                                   | -14.8           | -24.7           | -66.9%              | -9.6            | -34.3           |
| <b>Operating income after share of net income of equity-consolidated companies</b> | <b>887.1</b>    | <b>712.5</b>    | <b>-19.7%</b>       | <b>498.6</b>    | <b>375.1</b>    |
| Result before tax                                                                  | 1,121.4         | 900.5           | -19.7%              | 683.6           | 388.9           |
| <b>Net income, Group share</b>                                                     | <b>1,106.5</b>  | <b>880.4</b>    | <b>-20.4%</b>       | <b>671.8</b>    | <b>379.4</b>    |
|                                                                                    |                 |                 |                     |                 |                 |

(Unaudited financial figures)

The consolidated financial statements of the Bpifrance public industrial and commercial establishment (EPIC) include the consolidated financial statements of Bpifrance SA applying the equity method and the financial statements of the parent company.

The fall in shareholders' equity between 31 December 2022 and 30 June 2023 is mainly due to the fall in capital and related reserves (€14.7 billion at 30 June 2023, compared with €22.1 billion at 31 December 2022) as a result of the State's acquisition of EDF shares (€3.9 billion) as well as the cash endowment (€3.5 billion) under the Fund for Innovation and Industry.

Net income for the first half of 2023 is comprised essentially of the share of Bpifrance SA's net income of €409.4 million.



## II. CONSOLIDATED ACCOUNTS

### Bpifrance consolidated balance sheet at 30 June 2023

| A S S E T S (in millions of euros)                                                        | 30/06/2023       | 31/12/2022       |
|-------------------------------------------------------------------------------------------|------------------|------------------|
| Cash in hand, central banks                                                               | 9,555.1          | 9,575.7          |
| Financial assets at fair value through profit or loss                                     | 7,269.5          | 6,986.4          |
| Hedging derivatives                                                                       | 63.1             | 58.1             |
| Financial assets at fair value through equity                                             | 16,725.2         | 15,227.5         |
| Securities at amortised cost                                                              | 9,963.2          | 9,616.2          |
| Loans and receivables owed by credit institutions and similar entities, at amortised cost | 1,919.7          | 1,257.6          |
| Loans and receivables owed by clients, at amortised cost                                  | 47,910.3         | 47,887.9         |
| Finance leases and similar transactions, at amortised cost                                | 6,118.9          | 6,095.5          |
| Innovation financing aid                                                                  | 883.1            | 971.1            |
| Fair value adjustments to debt portfolios hedged against interest rate                    | -2,130.5         | -2,249.2         |
| Current and deferred tax assets                                                           | 271.8            | 372.7            |
| Accruals and miscellaneous assets                                                         | 1,254.2          | 1,383.1          |
| Non-current assets held for sale                                                          | 0.0              | 0.0              |
| Holdings in equity-consolidated companies                                                 | 4,181.1          | 3,895.7          |
| Investment property                                                                       | 0.0              | 0.0              |
| Tangible fixed assets                                                                     | 232.6            | 247.1            |
| Intangible assets                                                                         | 302.6            | 281.7            |
| Goodwill                                                                                  | 2.1              | 2.1              |
| <b>TOTAL ASSETS</b>                                                                       | <b>104,521.9</b> | <b>101,609.2</b> |

### Bpifrance consolidated balance sheet at 30 June 2023

| <b>LIABILITIES</b> <i>(in millions of euros)</i>                       | <b>30/06/2023</b> | <b>31/12/2022</b> |
|------------------------------------------------------------------------|-------------------|-------------------|
| Central banks                                                          | 0.0               | 0.0               |
| Financial liabilities at fair value through profit or loss             | 0.0               | 2.3               |
| Hedging derivatives                                                    | 19.8              | 10.9              |
| Debts owed to credit institutions and similar entities                 | 18,674.9          | 20,672.2          |
| Debts owed to clients                                                  | 2,159.7           | 2,389.6           |
| Debts represented by securities                                        | 43,000.7          | 39,749.0          |
| Fair value adjustments to debt portfolios hedged against interest rate | -1,867.9          | -2,027.3          |
| Current and deferred tax liabilities                                   | 124.6             | 32.6              |
| Accruals and miscellaneous liabilities                                 | 3,583.0           | 3,910.8           |
| Lease liabilities                                                      | 125.2             | 129.2             |
| Debt related to non-current assets held for sale                       | 0.0               | 0.0               |
| Provisions                                                             | 112.1             | 123.5             |
| Net resources for innovation-related activity                          | 2,392.4           | 2,311.6           |
| - Allocated to commitments                                             | 1,174.1           | 1,186.1           |
| - Not allocated                                                        | 1,218.3           | 1,125.5           |
| Public guarantee funds                                                 | 6,846.6           | 6,794.9           |
| - Allocated to commitments                                             | 2,143.8           | 2,080.3           |
| - Not allocated                                                        | 4,702.8           | 4,714.6           |
| Subordinated debt                                                      | 7.2               | 7.2               |
| Shareholders' equity                                                   | 29,343.6          | 27,502.7          |
| Shareholders' equity - Group share                                     | 29,273.0          | 27,430.5          |
| - Capital and related reserves                                         | 21,122.4          | 21,122.4          |
| - Consolidated reserves                                                | 5,566.1           | 4,351.7           |
| - Gains and losses directly recognised in shareholders' equity         | 1,751.2           | 453.2             |
| - Result                                                               | 833.3             | 1,503.2           |
| Minority interests                                                     | 70.6              | 72.2              |
| - Reserves                                                             | 70.5              | 72.3              |
| - Result                                                               | 0.2               | -0.1              |
| <b>TOTAL LIABILITIES</b>                                               | <b>104,521.9</b>  | <b>101,609.2</b>  |

**Bpifrance publishable consolidated profit and loss statement**

(in millions of euros)

|                                                                                                                                                     | 30/06/2023     | 31/12/2022     | 30/06/2022     |
|-----------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------|----------------|
| Interest and similar income                                                                                                                         | 1,537.3        | 1,825.6        | 991.9          |
| Interest and similar expenses                                                                                                                       | -1,116.9       | -938.5         | -548.9         |
| Net gains or losses resulting from net position hedging                                                                                             | 0.0            | 0.0            | 0.0            |
| Fees (income)                                                                                                                                       | 54.3           | 107.8          | 54.3           |
| Fees (expenses)                                                                                                                                     | -1.4           | -1.8           | -0.8           |
| Net gains or losses on financial instruments at fair value through profit or loss                                                                   | 108.0          | 404.6          | 465.4          |
| Net gains or losses on financial instruments at fair value through equity                                                                           | 459.0          | 569.4          | 377.5          |
| Net gains or losses resulting from the derecognition of financial assets at amortised cost                                                          | 0.0            | 0.0            | 0.0            |
| Net gains or losses resulting from reclassification of financial assets at amortised cost as financial assets at fair value through profit or loss  | 0.0            | 0.0            | 0.0            |
| Net gains or losses from reclassification of financial assets at fair value through equity to financial assets at fair value through profit or loss | 0.0            | 0.0            | 0.0            |
| Revenue from other activities                                                                                                                       | 139.2          | 291.2          | 124.1          |
| Expenses from other activities                                                                                                                      | -51.1          | -127.1         | -31.2          |
| <b>NET BANKING INCOME</b>                                                                                                                           | <b>1,128.4</b> | <b>2,131.2</b> | <b>1,432.3</b> |
| General operating expenses                                                                                                                          | -466.5         | -811.5         | -409.5         |
| Amortisation & depreciation allowances on property, plant and equipment and intangible assets                                                       | -46.1          | -88.7          | -41.9          |
| <b>GROSS OPERATING INCOME</b>                                                                                                                       | <b>615.8</b>   | <b>1,231.0</b> | <b>980.9</b>   |
| Cost of credit risk                                                                                                                                 | 21.3           | -163.2         | -109.2         |
| <b>NET OPERATING INCOME</b>                                                                                                                         | <b>637.1</b>   | <b>1,067.8</b> | <b>871.7</b>   |
| Share of net income of companies accounted for by the equity method                                                                                 | 242.8          | 495.4          | 264.8          |
| Net gains or losses on other assets                                                                                                                 | 0.6            | -0.7           | 0.0            |
| Changes in the value of goodwill                                                                                                                    | 6.8            | 3.8            | 2.2            |
| <b>PRE-TAX INCOME</b>                                                                                                                               | <b>887.3</b>   | <b>1,566.3</b> | <b>1,138.7</b> |
| Tax on profits                                                                                                                                      | -53.8          | -63.2          | -108.4         |
| Net tax result of discontinued activities                                                                                                           | 0.0            | 0.0            | 0.0            |
| <b>NET INCOME</b>                                                                                                                                   | <b>833.5</b>   | <b>1,503.1</b> | <b>1,030.3</b> |
| Minority interests                                                                                                                                  | 0.2            | -0.1           | 0.0            |
| <b>NET INCOME - GROUP SHARE</b>                                                                                                                     | <b>833.3</b>   | <b>1,503.2</b> | <b>1,030.3</b> |
| Earnings per share (in euros)                                                                                                                       | 1.23           | 2.22           | 1.52           |
| Diluted earnings per share (in euros)                                                                                                               | 1.23           | 2.22           | 1.52           |

Net income and gains and losses recognised directly  
in the equity of Bpifrance

(in €m)

|                                                                                                                                           | 30/06/2023     | 31/12/2022      | 30/06/2022      |
|-------------------------------------------------------------------------------------------------------------------------------------------|----------------|-----------------|-----------------|
| <b>NET INCOME</b>                                                                                                                         | <b>833.5</b>   | <b>1,503.1</b>  | <b>1,030.3</b>  |
| <b>Items that can be reclassified (recyclable) in net income</b>                                                                          |                |                 |                 |
| <i>Conversion adjustments</i>                                                                                                             | 0.0            | 0.0             | 0.0             |
| <i>Revaluation of recyclable financial assets at fair value through equity</i>                                                            | 14.2           | -213.8          | -154.2          |
| <i>Revaluation of hedging derivatives on recyclable items</i>                                                                             | 0.0            | 0.0             | 0.0             |
| <i>Share of gains and losses recognised directly in the equity of equity-consolidated companies using the equity method</i>               | -48.5          | 65.8            | 85.8            |
| <i>Other items recognised through equity and recyclable</i>                                                                               | 0.0            | 0.0             | 0.0             |
| <i>Related taxes</i>                                                                                                                      | -3.7           | 55.2            | 39.8            |
| <b>Items that cannot be reclassified (non-recyclable) in net income</b>                                                                   |                |                 |                 |
| <i>Revaluation of fixed assets</i>                                                                                                        | 0.0            | 0.0             | 0.0             |
| <i>Revaluation (or actuarial gains and losses) on defined benefit plans</i>                                                               | 0.0            | 10.3            | 0.0             |
| <i>Revaluation of own credit risk of financial liabilities subject to fair value through profit or loss option</i>                        | 0.0            | 0.0             | 0.0             |
| <i>Revaluation of non-recyclable equity instruments recognised at fair value through equity</i>                                           | 1,349.1        | -1,833.9        | -1,120.3        |
| <i>Share of gains and losses recognised directly in equity of companies accounted for using the equity method that cannot be recycled</i> | 107.3          | -130.9          | -203.5          |
| <i>Other non-recyclable items recognised through equity</i>                                                                               | 0.0            | 0.0             | 0.0             |
| <i>Related taxes</i>                                                                                                                      | -4.0           | 54.5            | 139.6           |
| <b>TOTAL GAINS AND LOSSES RECOGNISED DIRECTLY IN EQUITY</b>                                                                               | <b>1,414.4</b> | <b>-1,992.8</b> | <b>-1,212.7</b> |
|                                                                                                                                           |                |                 |                 |
| <b>NET INCOME AND GAINS AND LOSSES RECOGNISED DIRECTLY IN EQUITY</b>                                                                      | <b>2,247.9</b> | <b>-489.7</b>   | <b>-182.4</b>   |
| Of which, Group share                                                                                                                     | 2,241.7        | -495.9          | -185.1          |
| Of which, share of minority interests                                                                                                     | 6.3            | 6.2             | 2.7             |
| <b>Amount of non-recyclable items transferred to reserves</b>                                                                             | <b>110.8</b>   | <b>-298.5</b>   | <b>-303.2</b>   |

Change in equity Table



|                                                                                              | Capital and related reserves | Consolidated reserves | Gains and losses directly recognised in shareholders' equity | Net income Group share | Shareholders' equity Group share | Shareholders' equity Minority share | Total consolidated equity |
|----------------------------------------------------------------------------------------------|------------------------------|-----------------------|--------------------------------------------------------------|------------------------|----------------------------------|-------------------------------------|---------------------------|
| <i>(in €m)</i>                                                                               |                              |                       |                                                              |                        |                                  |                                     |                           |
| <b>Position at 31/12/2021</b>                                                                | <b>21,122.4</b>              | <b>3,235.2</b>        | <b>2,154.3</b>                                               | <b>1,828.6</b>         | <b>28,340.5</b>                  | <b>26.1</b>                         | <b>28,366.6</b>           |
| Earnings allocated to reserves                                                               | 0.0                          | 1,828.6               | 0.0                                                          | -1,828.6               | 0.0                              | 0.0                                 | 0.0                       |
| Changes in gains and losses recognised directly in equity                                    | 0.0                          | -303.2                | -1,023.1                                                     | 0.0                    | -1,326.3                         | 2.7                                 | -1,323.6                  |
| <i>Change in value of financial instruments impacting non-recyclable equity</i>              | 0.0                          | 0.0                   | -1,200.4                                                     | 0.0                    | -1,200.4                         | 2.7                                 | -1,197.7                  |
| <i>Change in value of financial instruments impacting recyclable equity</i>                  | 0.0                          | 0.0                   | -125.9                                                       | 0.0                    | -125.9                           | 0.0                                 | -125.9                    |
| <i>Transfer of non-recyclable equity instruments recognised at fair value through equity</i> | 0.0                          | -303.2                | 303.2                                                        | 0.0                    | 0.0                              | 0.0                                 | 0.0                       |
| Profit and loss for the year                                                                 | 0.0                          | 0.0                   | 0.0                                                          | 1,030.3                | 1,030.3                          | 0.0                                 | 1,030.3                   |
| Actuarial gains and losses on defined benefit plans                                          | 0.0                          | 0.0                   | 13.4                                                         | 0.0                    | 13.4                             | 0.0                                 | 13.4                      |
| Conversion adjustments                                                                       | 0.0                          | 0.0                   | 97.3                                                         | 0.0                    | 97.3                             | 0.0                                 | 97.3                      |
| Distribution of dividends                                                                    | 0.0                          | -440.7                | 0.0                                                          | 0.0                    | -440.7                           | -1.7                                | -442.4                    |
| Elimination of self-owned securities                                                         | 0.0                          | 0.0                   | 0.0                                                          | 0.0                    | 0.0                              | 0.0                                 | 0.0                       |
| Changes in scope                                                                             | 0.0                          | 45.8                  | -18.2                                                        | 0.0                    | 27.6                             | 45.2                                | 72.8                      |
| Miscellaneous                                                                                | 0.0                          | -0.2                  | 0.3                                                          | 0.0                    | 0.1                              | 0.0                                 | 0.1                       |
| <b>Position at 30/06/2022</b>                                                                | <b>21,122.4</b>              | <b>4,365.5</b>        | <b>1,224.0</b>                                               | <b>1,030.3</b>         | <b>27,742.2</b>                  | <b>72.3</b>                         | <b>27,814.5</b>           |
| Earnings allocated to reserves                                                               | 0.0                          | 0.0                   | 0.0                                                          | 0.0                    | 0.0                              | -0.1                                | -0.1                      |
| Changes in gains and losses recognised directly in equity                                    | 0.0                          | 4.7                   | -767.8                                                       | 0.0                    | -763.1                           | 3.5                                 | -759.6                    |
| <i>Change in value of financial instruments impacting non-recyclable equity</i>              | 0.0                          | 0.0                   | -724.3                                                       | 0.0                    | -724.3                           | 3.5                                 | -720.8                    |
| <i>Change in value of financial instruments impacting recyclable equity</i>                  | 0.0                          | 0.0                   | -38.8                                                        | 0.0                    | -38.8                            | 0.0                                 | -38.8                     |
| <i>Transfer of non-recyclable equity instruments recognised at fair value through equity</i> | 0.0                          | 4.7                   | -4.7                                                         | 0.0                    | 0.0                              | 0.0                                 | 0.0                       |
| Profit and loss for the year                                                                 | 0.0                          | 0.0                   | 0.0                                                          | 472.9                  | 472.9                            | -0.1                                | 472.8                     |
| Actuarial gains and losses on defined benefit plans                                          | 0.0                          | 0.0                   | 5.0                                                          | 0.0                    | 5.0                              | 0.0                                 | 5.0                       |
| Conversion adjustments                                                                       | 0.0                          | 0.0                   | -25.3                                                        | 0.0                    | -25.3                            | 0.0                                 | -25.3                     |
| Distribution of dividends                                                                    | 0.0                          | -122.1                | 0.0                                                          | 0.0                    | -122.1                           | -2.0                                | -124.1                    |
| Elimination of self-owned securities                                                         | 0.0                          | 0.0                   | 0.0                                                          | 0.0                    | 0.0                              | 0.0                                 | 0.0                       |
| Changes in scope                                                                             | 0.0                          | 103.1                 | 17.7                                                         | 0.0                    | 120.8                            | -1.4                                | 119.4                     |
| Miscellaneous                                                                                | 0.0                          | 0.5                   | -0.3                                                         | 0.0                    | 0.2                              | 0.0                                 | 0.2                       |
| <b>Position at 31/12/2022</b>                                                                | <b>21,122.4</b>              | <b>4,351.7</b>        | <b>453.2</b>                                                 | <b>1,503.2</b>         | <b>27,430.5</b>                  | <b>72.2</b>                         | <b>27,502.7</b>           |
| Earnings allocated to reserves                                                               | 0.0                          | 1,503.2               | 0.0                                                          | -1,503.2               | 0.0                              | 0.0                                 | 0.0                       |
| Changes in gains and losses recognised directly in equity                                    | 0.0                          | 110.8                 | 1,345.5                                                      | 0.0                    | 1,456.3                          | 6.1                                 | 1,462.4                   |
| <i>Change in value of financial instruments impacting non-recyclable equity</i>              | 0.0                          | 0.0                   | 1,437.3                                                      | 0.0                    | 1,437.3                          | 6.1                                 | 1,443.4                   |
| <i>Change in value of financial instruments impacting recyclable equity</i>                  | 0.0                          | 0.0                   | 19.0                                                         | 0.0                    | 19.0                             | 0.0                                 | 19.0                      |
| <i>Transfer of non-recyclable equity instruments recognised at fair value through equity</i> | 0.0                          | 110.8                 | -110.8                                                       | 0.0                    | 0.0                              | 0.0                                 | 0.0                       |
| Profit and loss for the year                                                                 | 0.0                          | 0.0                   | 0.0                                                          | 833.3                  | 833.3                            | 0.2                                 | 833.5                     |
| Actuarial gains and losses on defined benefit plans                                          | 0.0                          | 0.0                   | 9.1                                                          | 0.0                    | 9.1                              | 0.0                                 | 9.1                       |
| Conversion adjustments                                                                       | 0.0                          | 0.0                   | -57.0                                                        | 0.0                    | -57.0                            | 0.0                                 | -57.0                     |
| Distribution of dividends                                                                    | 0.0                          | -406.8                | 0.0                                                          | 0.0                    | -406.8                           | -1.1                                | -407.9                    |
| Elimination of self-owned securities                                                         | 0.0                          | 0.0                   | 0.0                                                          | 0.0                    | 0.0                              | 0.0                                 | 0.0                       |
| Changes in scope                                                                             | 0.0                          | 14.9                  | 0.4                                                          | 0.0                    | 15.3                             | -6.8                                | 8.5                       |
| Miscellaneous                                                                                | 0.0                          | -7.8                  | 0.0                                                          | 0.0                    | -7.8                             | 0.0                                 | -7.8                      |
| <b>Position at 30/06/2023</b>                                                                | <b>21,122.4</b>              | <b>5,566.0</b>        | <b>1,751.2</b>                                               | <b>833.3</b>           | <b>29,273.0</b>                  | <b>70.6</b>                         | <b>29,343.6</b>           |

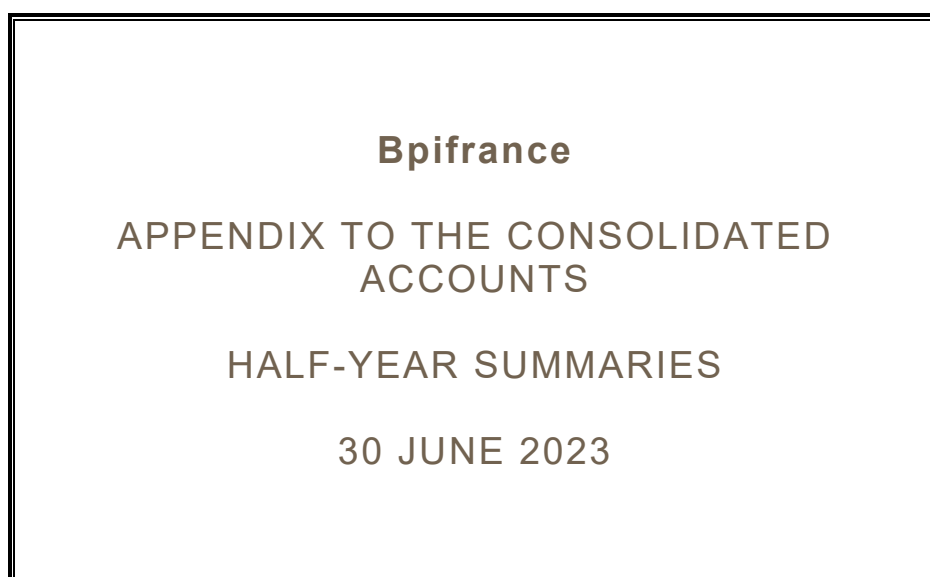
Bpifrance Group statement of cash flows

|                                                                                               | 30/06/2023      | 31/12/2022      | 30/06/2022      |
|-----------------------------------------------------------------------------------------------|-----------------|-----------------|-----------------|
| (in €m)                                                                                       |                 |                 |                 |
| <b>Result before tax</b>                                                                      | <b>887.4</b>    | <b>1,566.3</b>  | <b>1,138.7</b>  |
| Net depreciation/amortisation expense on property, plant and equipment, and intangible assets | 46.3            | 88.7            | 41.9            |
| Impairment of goodwill and other non-current assets                                           | -6.9            | -3.8            | -2.2            |
| Net allocations to provisions                                                                 | -13.6           | 155.6           | 90.4            |
| Share of net income from equity-consolidated companies                                        | -234.3          | -495.4          | -264.9          |
| Net loss/net gain from investment activities                                                  | -448.3          | -489.7          | -342.1          |
| Other movements                                                                               | 431.6           | 745.6           | 193.1           |
| Other movements (specific to guarantee funds)                                                 | 51.6            | 104.1           | 52.6            |
| <b>Total non-monetary items included in net income before taxes and other adjustments</b>     | <b>-182.0</b>   | <b>105.1</b>    | <b>-231.2</b>   |
| Flows related to transactions with credit institutions                                        | -2,482.6        | -711.5          | -2,448.3        |
| Flows related to transactions with clients                                                    | -212.6          | -2,136.3        | -1,236.9        |
| Flows related to other transactions impacting financial assets or liabilities                 | -435.5          | -1,517.9        | -592.9          |
| Flows related to other transactions impacting non-financial assets or liabilities             | 721.9           | -204.5          | -10.4           |
| Flows related to other transactions impacting the innovation business                         | 168.8           | 373.5           | 442.5           |
| Taxes paid                                                                                    | 49.0            | -33.2           | -8.0            |
| <b>Net decrease/(increase) in assets and liabilities from operational activities</b>          | <b>-2,191.0</b> | <b>-4,229.9</b> | <b>-3,854.0</b> |
| <b>Total net cash flow generated by operational activities (A)</b>                            | <b>-1,485.7</b> | <b>-2,558.5</b> | <b>-2,946.5</b> |
| Flows related to financial assets and equity interests                                        | -479.8          | 1.8             | 306.9           |
| Flows related to investment properties                                                        | 0.0             | 0.0             | 0.0             |
| Flows related to property, plant and equipment and intangible assets                          | -51.8           | -118.2          | -32.1           |
| <b>Total net cash flow related to investment transactions (B)</b>                             | <b>-531.6</b>   | <b>-116.4</b>   | <b>274.8</b>    |
| Cash flows from or to shareholders                                                            | -428.0          | -573.5          | -452.5          |
| Other net cash flows from financing activities                                                | 2,461.7         | 4,012.0         | 1,456.6         |
| <b>Total net cash flow related to financing transactions (C)</b>                              | <b>2,033.8</b>  | <b>3,438.5</b>  | <b>1,004.1</b>  |
| Impact of exchange rate fluctuations on cash and cash equivalents (D)                         | 0.0             | 0.0             | 0.0             |
| <b>Net increase/(decrease) in cash and cash equivalents (A+B+C+D)</b>                         | <b>16.4</b>     | <b>763.6</b>    | <b>-1,667.6</b> |
| Net cash flow generated by operational activities (A)                                         | -1,485.7        | -2,558.5        | -2,946.5        |
| Net cash flow related to investment transactions (B)                                          | -531.6          | -116.4          | 274.8           |
| Net cash flow related to financing transactions (C)                                           | 2,033.8         | 3,438.5         | 1,004.1         |
| Impact of exchange rate fluctuations on cash and cash equivalents (D)                         | 0.0             | 0.0             | 0.0             |
| <b>Cash and cash equivalents - opening balance</b>                                            | <b>10,652.0</b> | <b>9,888.4</b>  | <b>9,888.4</b>  |
| Cash in hand, central banks (assets & liabilities)                                            | 9,575.7         | 8,600.4         | 8,600.4         |
| Accounts (assets & liabilities) and sight loans/borrowing from credit institutions            | 1,076.3         | 1,288.0         | 1,288.0         |
| <b>Cash and cash equivalents - closing balance</b>                                            | <b>10,668.4</b> | <b>10,652.0</b> | <b>8,220.8</b>  |
| Cash in hand, central banks (assets & liabilities)                                            | 9,555.1         | 9,575.7         | 7,030.7         |
| Accounts (assets & liabilities) and sight loans/borrowing from credit institutions            | 1,113.3         | 1,076.3         | 1,190.1         |
| <b>Change in net cash position</b>                                                            | <b>16.4</b>     | <b>763.6</b>    | <b>-1,667.6</b> |



### **III. APPENDIX TO THE CONSOLIDATED ACCOUNTS**

#### **of Bpifrance at 30 June 2023**





## Note 1 – ACCOUNTING PRINCIPLES AND METHODS

The condensed half-year consolidated financial statements of the Bpifrance Group for the six-month period ending on 30 June 2023 were prepared and are presented in accordance with IAS 34 “Interim Financial Reporting”. Therefore, the notes presented focus on significant items for the period and should be read in conjunction with the audited consolidated financial statements for the year ended 31 December 2022, which are found in the 2022 Universal Registration Document.

### ***Accounting principles and methods adopted***

#### *Regulatory framework*

The consolidated financial statements of the Bpifrance Group have been prepared in accordance with the IFRS standards in effect in the European Union at 30 June 2023.

The standards, amendments, and interpretations (including IFRS 17) which are compulsory as of 1 January 2023 had no material impact on the financial statements at 30 June 2023.

The accounting principles and methods used to prepare the condensed half-year consolidated financial statements are the same as those used by the Group to prepare the consolidated financial statements for the year ended 31 December 2022.

The accounting principles and valuation methods applicable on 31 December 2022 are described in notes 3 to 5 of the 2022 consolidated financial statements.

Moreover, the Group does not apply any standards, interpretations and amendments whose application is currently optional.

### ***Presentation of the consolidated financial statements***

The presentation of the condensed financial statements is consistent with the proposal of ANC recommendation No. 2022-01 of 8 April 2022 on the format of consolidated financial statements of banking sector institutions under international accounting standards.

### ***Use of estimates in the preparation of the financial statements***

The preparation of the financial statements requires making estimates that involve uncertainties about their occurrence. In particular, post-employment commitments were measured at 30 June 2023 by extrapolating the actuarial valuation performed at 31 December 2022.

### ***Seasonal, cyclical or non-recurring nature of activities***

Other than the provision for paid leave, which recognises vested rights to leave not yet taken at 30 June, the Group’s activities are not seasonal, cyclical or non-recurring in nature.



## Note 2 - EVENTS DURING THE PERIOD

### 2.1 Significant events during the period

#### Calculation of expected credit losses

##### *Update of the forward-looking scenarios*

###### *Details of the scenarios*

In June 2023, Bpifrance updated the four forward-looking scenarios.

These scenarios take into account several constraints on the French economy. In particular, it is assumed that supply will continue to be affected by persistently high production costs and by recruitment difficulties affecting all sectors of activity. Thus, inflation, although falling, would remain high in 2023 and 2024; and the ECB continued to raise its key rates through the summer of 2023, keeping them at high levels in 2024 and 2025. Against this backdrop, household consumption and private investment are likely to be sluggish. Activity is therefore expected to slow in 2023, with a limited rebound in 2024. Nevertheless, the recovery plans, in particular the "France 2030" plan, would help sustain growth.

The scenarios also take into account the economic consequences of the ecological and energy transition (EET), which would take the form of a negative supply shock, at least temporarily, weighting on potential growth and supporting inflation over the entire forecast period (2023-2028). Uncertainties about growth prospects remain high. The optimistic scenario anticipates more dynamic growth in 2024, due to a more rapid easing of price pressures, implying more dynamic consumption and a more rapid normalisation of monetary policy. Conversely, the downgraded scenario (inflation and a bond crash) envisages longer-lasting inflationary pressures fuelled by a price-wage spiral. The ECB would then adopt a more restrictive monetary policy, leading to greater stress on sovereign interest rates. This would have a lasting impact on France's productive fabric and on the ecological and energy transition, resulting in reduced potential growth in the medium term. The alternative L-shaped scenario assumes a strong recessionary shock of a health, financial or cyclical nature, followed by stagnation due to a lasting impact on French production capacity, resulting in a fall in inflation and permanently low interest rates.

###### *Change in weightings*

The weightings of the June 2023 scenarios have been adjusted from the previous year. The choice of these weightings is largely based on that of the Caisse des Dépôts Group.

| Scenario                               | Weightings<br>30/06/23 | Weightings<br>31/12/22 |
|----------------------------------------|------------------------|------------------------|
| Optimistic                             | 15%                    | 10%                    |
| Central                                | 65%                    | 65%                    |
| Inflationary downgrade with bond crash | 15%                    | 20%                    |
| L-shape degraded                       | 5%                     | 5%                     |

##### *Methodological adjustments to the model*

###### *Correlation between growth rate and default rate*

The health crisis context of the years 2020 and 2021 required the application of a methodological adjustment to the Bpifrance ECL (Expected Credit Losses) calculation model, to correct the observed decorrelation between the economic context and the default rates.

Bpifrance does not include the data from 2020, 2021 and 2022 in the calibration of the ECL calculation model as at 30 June 2023, and continues to use the parameters used at the end of 2019.



The effect of not recalibrating the model is an increase in ECL of €12m at 30 June 2023 (€106m at 31 December 2022).

#### *Correlation between inflation rate and default rate*

The economic context of 2022 and 2023 translates into sharply rising inflation projections, at levels well above the values present in the calibration history of the models. The correlation observed historically in Bpifrance portfolios between inflation and default is negative: rising inflation is associated with a decrease in defaults.

Therefore, updating this projected inflation has a strong counter-intuitive effect in the results of the model, as it would result in a large decrease in the calculated amount of ECL. This result is explained by the change in the current inflation regime compared with the last ten years and does not correspond to the expected effects of this shock on French business failures.

To mitigate this effect, Bpifrance has decided to neutralise the effect of inflation in the update of the ECLs, by retaining in its macroeconomic scenarios the inflation trajectories defined at 31 December 2021.

The effect of this neutralisation of inflation effects is an increase in the ECL of €161m at 30 June 2023 (€198m at 31 December 2022).

### **Sector-based adjustments**

#### *Inflationary shock*

Given the ongoing supply difficulties and the inflationary environment (rising energy, raw materials, and labour costs), the rating adjustments made at 31 December 2022 have been maintained at 30 June 2023. The agri-food sector was downgraded another rank.

This adjustment results in an ECL increase of €111 million at 30 June 2023. It was €108 million at 31 December 2022.

#### *Photovoltaic energy*

The Decree of 26 October 2021 provided for the revision of feed-in tariffs for certain photovoltaic installations. This resulted in a very significant drop in future income from these facilities. As a result, the ability of the companies concerned to repay their debt was uncertain. On 27 January 2023, the Conseil d'Etat annulled this decree.

This decision means that the €10m adjustment booked at 31 December 2022 must be reversed.

### **Other forward-looking adjustments**

The cash flow of French companies has been massively supported since the spring of 2020 through the distribution of state-guaranteed loans. These loans included a one-year grace period, which could be extended for an optional year thereafter. As a result, most SGLs have been in the amortisation period since 2022, or will enter it in 2023. This increase in the cost of debt after two years of deferred amortisation is causing difficulties for some companies that have benefited from SGLs.

To take account of this risk to companies' ability to repay, an adjustment of €100 million to the ECL has been recognised alongside the results obtained from the models at 30 June 2023. Loans to companies identified as presenting a risk in terms of their ability to repay their SGLs are classified in bucket 2.

This adjustment was €110 million at 31 December 2022. This decrease mainly results from the amortisation of the portfolio in question.

### Sensitivity analysis of the ECL to macroeconomic scenarios

As described above, the four macroeconomic scenarios used in the calculation of the ECL at 30 June 2023 correspond to very different economic situations. Consequently, they lead to significantly different amounts of ECL<sup>7</sup>.

| Scenario                               | Amount of ECL in case of 100% scenario weighting (€m) | As a percentage of the ECL recorded at 30/06/23 |
|----------------------------------------|-------------------------------------------------------|-------------------------------------------------|
| Optimistic                             | 447                                                   | 88%                                             |
| Central                                | 489                                                   | 96%                                             |
| Inflationary downgrade with bond crash | 609                                                   | 120%                                            |
| L-shape degraded                       | 639                                                   | 126%                                            |

### Customer loans and receivables as well as finance leases and similar transactions at amortised cost

- Breakdown of gross carrying amounts (excluding accounts opened with Agence France Trésor (AFT))

| (in €m)                            | Bucket 1<br>Expected losses<br>at 12 months | Bucket 2<br>Expected losses<br>at maturity | Bucket 3<br>Expected losses<br>in impaired credit | TOTAL  |
|------------------------------------|---------------------------------------------|--------------------------------------------|---------------------------------------------------|--------|
| Opening balance - 31 December 2022 | 29,583                                      | 15,949                                     | 2,709                                             | 48,241 |
| Closing balance- 30 June 2023      | 30,038                                      | 15,139                                     | 2,930                                             | 48,108 |

- Breakdown of expected credit losses

| (in €m)                            | Bucket 1<br>Expected losses<br>at 12 months | Bucket 2<br>Expected losses<br>at maturity | Bucket 3<br>Expected losses<br>in impaired credit | TOTAL |
|------------------------------------|---------------------------------------------|--------------------------------------------|---------------------------------------------------|-------|
| Opening balance - 31 December 2022 | 124                                         | 451                                        | 682                                               | 1,257 |
| Closing balance- 30 June 2023      | 107                                         | 363                                        | 745                                               | 1,215 |

## 2.2 Post balance sheet events

<sup>7</sup> The calculations of sensitivity to the scenarios are made without adjustments to the repayment capacity of companies that have benefited from a state-guaranteed loan. The €100m adjustment is added to the result of the calculations for each scenario.



No significant events have occurred after the balance sheet date.

### **Note 3 - CONSOLIDATION SCOPE**

The consolidated financial statements of the Bpifrance Group include all exclusively controlled companies, except those whose consolidation does not materially impact the preparation of the Group's consolidated financial statements.

The accounts of exclusively controlled companies are fully consolidated.

Investments that the Group controls jointly via a joint venture and investments over which the Group exercises significant influence are accounted for using the equity method.

#### ***Change in the consolidation scope in the first half of 2023***

The consolidation scope of the Bpifrance Group at 30 June 2023 has changed compared the last year-end closing of the consolidated financial statements at 31 December 2022 :

- FIC DETTE PRIVEE III has been fully consolidated since January 2023;
- Withdrawal from the Avenir Entreprise Développement C4 fund, following its liquidation in March 2023.

The following table lists the consolidated companies, the percentage of their capital that is held directly or indirectly, and the consolidation method used.

| Name                                                     | Consolidation method | 30/06/2023<br>% Interest | 30/06/2023<br>% of<br>voting<br>rights | 31/12/2022<br>% of<br>voting<br>rights |
|----------------------------------------------------------|----------------------|--------------------------|----------------------------------------|----------------------------------------|
| Bpifrance - MAISONS-ALFORT                               | Full                 | 100%                     | 100%                                   | 100%                                   |
| Bpifrance Regions - MAISONS-ALFORT                       | Full                 | 99.99%                   | 99.99%                                 | 99.99%                                 |
| Auxi-Finances - MAISONS-ALFORT                           | Full                 | 100%                     | 100%                                   | 100%                                   |
| SCI Bpifrance - MAISONS-ALFORT                           | Full                 | 100%                     | 100%                                   | 100%                                   |
| Bpifrance Brokerage - MAISONS-ALFORT                     | Full                 | 100%                     | 100%                                   | 100%                                   |
| FCT Bpifrance SME 2019-01 - SAINT-DENIS                  | Full                 | 100%                     | 100%                                   | 100%                                   |
| FCT Bpifrance TPE Digital - SAINT DENIS                  | Full                 | 100%                     | 100%                                   | 100%                                   |
| FCT Bpifrance SME 2020-01 - SAINT-DENIS                  | Full                 | 100%                     | 100%                                   | 100%                                   |
| FCT Prêts d'Honneur - SAINT-DENIS                        | Full                 | 100%                     | 100%                                   | 100%                                   |
| Bpifrance Assurance Export - MAISONS-ALFORT              | Full                 | 100%                     | 100%                                   | 100%                                   |
| Bpifrance Participations - MAISONS-ALFORT                | Full                 | 100%                     | 100%                                   | 100%                                   |
| FSI PME Portefeuille - MAISONS-ALFORT                    | Full                 | 100%                     | 100%                                   | 100%                                   |
| FFI Class A Shares - MAISONS-ALFORT                      | Full                 | 100%                     | 100%                                   | 100%                                   |
| FFI Class B Shares - MAISONS-ALFORT                      | Full                 | 100%                     | 100%                                   | 100%                                   |
| SME FUND of FUNDS - MAISONS-ALFORT                       | Full                 | 100%                     | 100%                                   | 100%                                   |
| FFI 2 - MAISONS-ALFORT                                   | Full                 | 100%                     | 100%                                   | 100%                                   |
| FFI 3 - MAISONS-ALFORT                                   | Full                 | 100%                     | 100%                                   | 100%                                   |
| FFI 4 - MAISONS-ALFORT                                   | Full                 | 100%                     | 100%                                   | 100%                                   |
| FFI 5 - MAISONS-ALFORT                                   | Full                 | 100%                     | 100%                                   | 100%                                   |
| FFI 6 - MAISONS-ALFORT                                   | Full                 | 100%                     | 100%                                   | 100%                                   |
| FPMEI - MAISONS-ALFORT                                   | Full                 | 100%                     | 100%                                   | 100%                                   |
| France Investissement Croissance 1 - MAISONS-ALFORT      | Full                 | 100%                     | 100%                                   | 100%                                   |
| France Investissement Croissance 2 - MAISONS-ALFORT      | Full                 | 100%                     | 100%                                   | 100%                                   |
| France Investissement Croissance 3 - MAISONS-ALFORT      | Full                 | 100%                     | 100%                                   | 100%                                   |
| France Investissement Croissance 4 - MAISONS-ALFORT      | Full                 | 100%                     | 100%                                   | 100%                                   |
| France Investissement Croissance 5 - MAISONS-ALFORT      | Full                 | 100%                     | 100%                                   | 100%                                   |
| FIC PRIVATE DEBT - MAISONS-ALFORT                        | Full                 | 100%                     | 100%                                   | 100%                                   |
| FIC PRIVATE DEBT II - MAISONS-ALFORT                     | Full                 | 100%                     | 100%                                   | 100%                                   |
| FIC PRIVATE DEBT III - MAISONS-ALFORT                    | Full                 | 100%                     | 100%                                   | -                                      |
| France Investissement Régions 1 - MAISONS-ALFORT         | Full                 | 94%                      | 94%                                    | 94%                                    |
| France Investissement Régions 2 - MAISONS-ALFORT         | Full                 | 100%                     | 100%                                   | 100%                                   |
| France Investissement Régions 3 - MAISONS-ALFORT         | Full                 | 100%                     | 100%                                   | 100%                                   |
| France Investissement Régions 4 - MAISONS-ALFORT         | Full                 | 100%                     | 100%                                   | 100%                                   |
| France Investissement Tourisme - MAISONS-ALFORT          | Full                 | 100%                     | 100%                                   | 100%                                   |
| Avenir Entreprise Développement C1 - MAISONS-ALFORT      | Full                 | 100%                     | 100%                                   | 100%                                   |
| Avenir Entreprise Développement C2 - MAISONS-ALFORT      | Full                 | 100%                     | 100%                                   | 100%                                   |
| Avenir Entreprise Développement C4 - MAISONS-ALFORT      | Full                 | -                        | -                                      | 100%                                   |
| Avenir Entreprise Mezzanine - MAISONS-ALFORT             | Full                 | -                        | -                                      | 66.84%                                 |
| Avenir Entreprise Investissement - MAISONS-ALFORT        | Full                 | 100%                     | 100%                                   | 100%                                   |
| Avenir Tourisme - MAISONS-ALFORT                         | Full                 | 100%                     | 100%                                   | 100%                                   |
| ETI2020 - MAISONS-ALFORT                                 | Full                 | 100%                     | 100%                                   | 100%                                   |
| ETI22 - MAISONS-ALFORT                                   | Full                 | 94%                      | 94%                                    | 94%                                    |
| CDC Entreprises Capital Investissement - PARIS           | Full                 | 100%                     | 100%                                   | 100%                                   |
| FSN Ambition Numérique - MAISONS-ALFORT                  | Full                 | 100%                     | 100%                                   | 100%                                   |
| Bpifrance Innovation 1 Venture - MAISONS-ALFORT          | Full                 | 100%                     | 100%                                   | 100%                                   |
| Bpifrance Innovation 1 Large Venture II - MAISONS-ALFORT | Full                 | 100%                     | 100%                                   | 100%                                   |
| Bpifrance Capital 1 - MAISONS-ALFORT                     | Full                 | 100%                     | 100%                                   | 100%                                   |
| Bpifrance Capital 2 - MAISONS-ALFORT                     | Full                 | 100%                     | 100%                                   | 100%                                   |
| Bpifrance Mezzanine 1 - MAISONS-ALFORT                   | Full                 | 100%                     | 100%                                   | 100%                                   |
| Bpifrance International Capital - MAISONS-ALFORT         | Full                 | 100%                     | 100%                                   | 100%                                   |
| FEF Capital - MAISONS-ALFORT                             | Full                 | 100%                     | 100%                                   | 100%                                   |
| Bpifrance Investissement - MAISONS-ALFORT                | Full                 | 100%                     | 100%                                   | 100%                                   |
| Alsabail - STRASBOURG                                    | Equity               | 40.69%                   | 40.69%                                 | 40.69%                                 |
| Tyrol Acquisition (Groupe TDF) - Luxembourg              | Equity               | 23.99%                   | 23.99%                                 | 23.99%                                 |
| Eutelsat Communications - PARIS                          | Equity               | 25.97%                   | 25.97%                                 | 25.97%                                 |
| STConso (Level with STM Consolidated at 27.79%) - GENEVA | Equity               | 50.00%                   | 50.00%                                 | 50.00%                                 |
| Future French Champion - MAISONS-ALFORT                  | Equity               | 50.00%                   | 50.00%                                 | 50.00%                                 |
| Fonds Lac I - MAISONS-ALFORT                             | Equity               | 33.35%                   | 33.35%                                 | 33.16%                                 |
| Soitec - BERNIN                                          | Equity               | 11.51%                   | 16.77%                                 | 16.80%                                 |



## Note 4 - RESOURCES

The tables below show loans in excess of €100m taken out or repaid (in full by date) over the period.

### Loans taken out during the period

(in millions of euros)

| Type                                | Amount  | Term (in years) | Maturity   |
|-------------------------------------|---------|-----------------|------------|
| OBL BPIFRA 3.125 25/05/2033         | 1,000.0 | 10              | 25/05/2033 |
| OBL BPIFRA 2.875 25/11/2029         | 1,000.0 | 6               | 25/11/2029 |
| OBL BPIFRA 3.0 10/09/26             | 1,000.0 | 3               | 10/09/2026 |
| CD BPIFF IPA 18/03/2024             | 336.0   | 1               | 18/03/2024 |
| OBL BPIFRA GBP 4.0 30/01/2026 (*)   | 291.3   | 2               | 30/01/2026 |
| CD BPIFF IPA 17/01/2024             | 200.0   | 0               | 17/01/2024 |
| CD BPIFF IPA 17/07/2023             | 200.0   | 0               | 17/07/2023 |
| CD BPIFF IPA 19/02/2024             | 200.0   | 0               | 19/02/2024 |
| CD BPIFF IPA GBP 26/07/2023 (**)    | 174.8   | 0               | 26/07/2023 |
| CD BPIFF IPA 03/08/2023             | 160.0   | 0               | 03/08/2023 |
| CD BPIFF IPA 04/04/2024             | 150.0   | 1               | 04/04/2024 |
| CD BPIFF IPA 06/07/2023             | 150.0   | 0               | 06/07/2023 |
| CD BPIFF IPA 07/07/2023             | 150.0   | 0               | 07/07/2023 |
| CD BPIFF IPA 11/03/2024             | 150.0   | 1               | 11/03/2024 |
| CD BPIFF IPA 31/10/2023             | 117.0   | 0               | 31/10/2023 |
| OBL BPIFRA GBP 4.0 30/01/2026 (***) | 116.5   | 2               | 30/01/2026 |
| CD BPIFF IPA GBP 31/07/2023         | 116.5   | 0               | 31/07/2023 |
| OBL BPIFRA 0.875 25/11/2026         | 100.0   | 3               | 25/11/2026 |
| CD BPIFF IPA 02/01/2024             | 100.0   | 0               | 02/01/2024 |
| CD BPIFF IPA 07/06/2024             | 100.0   | 1               | 07/06/2024 |
| CD BPIFF IPA 08/01/2024             | 100.0   | 1               | 08/01/2024 |
| CD BPIFF IPA 17/08/2023             | 100.0   | 0               | 17/08/2023 |
| CD BPIFF IPA 18/12/2023             | 100.0   | 0               | 18/12/2023 |
| CD BPIFF IPA 19/07/2023             | 100.0   | 0               | 19/07/2023 |
| CD BPIFF IPA 22/09/2023             | 100.0   | 0               | 22/09/2023 |
| CD BPIFF IPA 24/01/2024             | 100.0   | 1               | 24/01/2024 |
| CD BPIFF IPA 31/01/2024             | 100.0   | 1               | 31/01/2024 |
| CD BPIFF STR 13/12/23               | 100.0   | 0               | 13/12/2023 |

(\*) GBP 250m

(\*\*) GBP 150m

(\*\*\*) GBP 100m



**Loans repaid during the half-year**

*(in millions of euros)*

| Loan repayment date | Amount  |
|---------------------|---------|
| 29/03/2023 (*)      | 6,000.0 |
| 28/06/2023 (*)      | 2,000.0 |
| 14/02/2023          | 1,000.0 |
| 20/03/2023          | 200.0   |
| 06/03/2023          | 180.0   |
| 27/04/2023 (**)     | 169.7   |
| 17/05/2023          | 150.0   |
| 12/04/2023          | 149.0   |
| 13/01/2023          | 125.0   |
| 18/01/2023          | 125.0   |
| 17/04/2023 (***)    | 124.4   |
| 02/06/2023          | 100.0   |
| 03/05/2023          | 100.0   |
| 05/04/2023          | 100.0   |
| 06/04/2023          | 100.0   |
| 08/05/2023          | 100.0   |
| 08/06/2023          | 100.0   |
| 09/01/2023          | 100.0   |
| 14/03/2023          | 100.0   |
| 17/01/2023          | 100.0   |
| 22/05/2023          | 100.0   |
| 23/01/2023          | 100.0   |
| 24/02/2023          | 100.0   |
| 24/04/2023          | 100.0   |
| 30/03/2023          | 100.0   |
| 31/01/2023          | 100.0   |
| 06/06/2023          | 100.0   |
| 13/06/2023          | 100.0   |
| 20/06/2023          | 100.0   |

(\*) TLTRO III

(\*\*) GBP 150m

(\*\*\*) GBP 110m

## Note 5 - FINANCING AND GUARANTEE COMMITMENTS

| (in millions of euros)                                         | 30/06/2023      | 31/12/2022      |
|----------------------------------------------------------------|-----------------|-----------------|
| <b>Commitments made</b>                                        | <b>24,125.3</b> | <b>22,384.9</b> |
| Credit financing commitments                                   | 9,799.1         | 8,994.2         |
| <i>to credit institutions</i>                                  | 126.0           | 0.0             |
| <i>to clients</i>                                              | 9,673.1         | 8,994.2         |
| Innovation aid financing commitments                           | 241.8           | 245.5           |
| Guarantee commitments                                          | 13,983.5        | 13,145.2        |
| <i>to credit institutions</i>                                  | 0.0             | 0.0             |
| <i>to clients</i>                                              | 13,983.5        | 13,145.2        |
| Commitments on securities (securities deliverable)             | 100.9           | 0.0             |
| <b>Commitments received</b>                                    | <b>23,821.3</b> | <b>7,877.2</b>  |
| Credit financing commitments received from credit institutions | 20,715.5        | 4,935.4         |
| Guarantee commitments received from credit institutions        | 3,105.1         | 2,941.8         |
| Commitments on securities (securities receivable)              | 0.8             | 0.0             |

Bpifrance recorded for its forward foreign exchange transactions as at 30 June 2023 a foreign currency outstanding receivable of €751.5m (€349.5m at 31 December 2022) and an outstanding amount of €733.5m (€354.8m at 31 December 2022).

## Note 6 - SECTOR-BASED INFORMATION

The Bpifrance Group primarily carries out the following business activities:

- medium- and long-term loans: medium- and long-term financing in the form of direct loans, equipment and real estate leasing and finance leasing; this also include innovation loans;
- short-term financing includes in public liabilities financing in metropolitan France and the overseas departments and territories, either directly or by signature;
- guarantee coverage covers banks and equity funding institutions from the risks of default of funding recipients;
- innovation financing aid in the form of repayable advances or grants;
- equity investment activities in the form of direct investments, investments or via direct funds (Development Capital Investment) or in the form of indirect investments via funds of funds (Investment in Funds of Funds);
- international: a subsidiary of Bpifrance, Bpifrance Assurance Export manages public export guarantees in the name and on behalf of the State.

The "Other" item includes the business performed mainly by the real estate structures (SCI Bpifrance, Auxi-Finances), export credit, Digital Innovation Invest, the support activity as well as the business line "Entrepreneurship and Regions"

(in millions of euros)



| 30/06/2023        | Financing | Guarantee | Financing of Innovation | Development Capital Investment | Investment in Funds of Funds | International | Others | Total   |
|-------------------|-----------|-----------|-------------------------|--------------------------------|------------------------------|---------------|--------|---------|
| NBI               | 325.1     | 67.1      | 49.6                    | 556.3                          | 41.2                         | 30.1          | 59.1   | 1,128.4 |
| Overhead expenses | -159.4    | -43.0     | -71.4                   | -65.5                          | -22.6                        | -23.5         | -127.4 | -512.6  |
| Cost of risk      | 39.8      | 0.1       | -0.4                    | -5.7                           | ,                            | ,             | -12.5  | 21.3    |
| Operating results | 205.5     | 24.2      | -22.1                   | 485.1                          | 18.6                         | 6.6           | -80.7  | 637.1   |

| 31/12/2022        | Financing | Guarantee | Financing of Innovation | Development Capital Investment | Investment in Funds of Funds | International | Others | Total   |
|-------------------|-----------|-----------|-------------------------|--------------------------------|------------------------------|---------------|--------|---------|
| NBI               | 672.6     | 131.6     | 117.6                   | 753.5                          | 370.9                        | 47.9          | 37.1   | 2,131.2 |
| Overhead expenses | -279.0    | -58.1     | -123.5                  | -118.7                         | -39.2                        | -57.3         | -224.4 | -900.3  |
| Cost of risk      | -82.6     | ,         | -48.2                   | ,                              | ,                            | 0.0           | -32.4  | -163.2  |
| Operating results | 311.0     | 73.6      | -54.2                   | 634.8                          | 331.7                        | -9.5          | -219.7 | 1,067.8 |

| 30/06/2022        | Financing | Guarantee | Financing of Innovation | Development Capital Investment | Investment in Funds of Funds | International | Others | Total   |
|-------------------|-----------|-----------|-------------------------|--------------------------------|------------------------------|---------------|--------|---------|
| NBI               | 357.3     | 65.0      | 46.7                    | 463.8                          | 440.2                        | 25.6          | 33.7   | 1,432.3 |
| Overhead expenses | -151.3    | -28.4     | -61.0                   | -61.4                          | -17.8                        | -28.4         | -103.2 | -451.4  |
| Cost of risk      | -83.1     | 0.0       | -12.1                   | 0.0                            | 0.0                          | 0.0           | -13.9  | -109.2  |
| Operating results | 122.9     | 36.6      | -26.5                   | 402.5                          | 422.4                        | -2.8          | -83.4  | 871.7   |

(in millions of euros)

| Gross outstandings          | 30/06/2023 | 31/12/2022 |
|-----------------------------|------------|------------|
| Medium and long-term loans  | 40,031.3   | 40,227.5   |
| . of which Innovation loans | 1,691.2    | 1,650.5    |
| Short-term financing        | 1,575.4    | 1,718.5    |
| Innovation financing aid    | 883.1      | 971.1      |
| Guarantees provided         | 13,983.5   | 13,145.2   |

At 30 June 2023, the guarantee funds totalled €6,846.6m, compared with €6,794.9m at 31 December 2022.

Subsidies granted in connection with the innovation business totalled €56.3m, compared with €137.4m at 31 December 2022.

## Note 7 - DIVIDENDS PAID

Bpifrance has decided to distribute a dividend of €0.60 per share, representing a total of €406.8 million for the 2022 financial year. An interim dividend of €122.0 million, or €0.18 per share, was already paid on 21 December 2022.

## Note 8 – INFORMATION ON FAIR VALUE

| (in millions of euros)                                                                           | 30/06/2023      |                 |                |                 |
|--------------------------------------------------------------------------------------------------|-----------------|-----------------|----------------|-----------------|
|                                                                                                  | Level 1         | Level 2         | Level 3        | Total           |
| <b>ASSETS</b>                                                                                    |                 |                 |                |                 |
| <b>Financial assets at fair value through profit or loss</b>                                     | <b>229.9</b>    | <b>93.3</b>     | <b>6,946.2</b> | <b>7,269.5</b>  |
| - Bonds and fixed-income securities                                                              | 0.0             | 0.0             | 1,414.6        | 1,414.6         |
| - UCITS units                                                                                    | 229.9           | 83.2            | 336.7          | 649.8           |
| - Other assets at fair value through profit or loss                                              | 0.0             | 0.0             | 5,194.9        | 5,194.9         |
| - Transaction derivatives                                                                        | 0.0             | 10.2            | 0.0            | 10.2            |
| of which currency exchange derivatives                                                           | 0.0             | 10.2            | 0.0            | 10.2            |
| <b>Hedging derivatives</b>                                                                       | <b>0.0</b>      | <b>63.1</b>     | <b>0.0</b>     | <b>63.1</b>     |
| - Fair value hedging                                                                             | 0.0             | 0.0             | 0.0            | 0.0             |
| - Cash flow hedging                                                                              | 0.0             | 0.0             | 0.0            | 0.0             |
| - Hedging of net foreign currency investments                                                    | 0.0             | 0.0             | 0.0            | 0.0             |
| - Total hedging restricted to fair value                                                         | 0.0             | 63.1            | 0.0            | 63.1            |
| <b>Financial assets at fair value through equity</b>                                             | <b>8,727.9</b>  | <b>1,057.3</b>  | <b>6,940.0</b> | <b>16,725.2</b> |
| - Bonds and fixed-income securities                                                              | 959.0           | 645.2           | 0.0            | 1,604.3         |
| - Equities and other variable income securities                                                  | 7,768.9         | 412.0           | 6,940.0        | 15,120.9        |
| <b>Securities at amortised cost</b>                                                              | <b>7,807.3</b>  | <b>2,058.8</b>  | <b>0.0</b>     | <b>9,866.2</b>  |
| - Government bonds                                                                               | 7,807.3         | 75.4            | 0.0            | 7,882.7         |
| - Other bonds                                                                                    | 0.0             | 934.0           | 0.0            | 934.0           |
| - Negotiable debt instruments                                                                    | 0.0             | 1,049.4         | 0.0            | 1,049.4         |
| <b>Loans and receivables owed by credit institutions and similar entities, at amortised cost</b> | <b>1,591.6</b>  | <b>328.1</b>    | <b>0.0</b>     | <b>1,919.7</b>  |
| <b>Loans and receivables owed by clients, at amortised cost</b>                                  | <b>0.0</b>      | <b>45,945.0</b> | <b>0.0</b>     | <b>45,945.0</b> |
| <b>Finance leases and similar transactions, at amortised cost</b>                                | <b>0.0</b>      | <b>6,118.9</b>  | <b>0.0</b>     | <b>6,118.9</b>  |
| <b>LIABILITIES</b>                                                                               |                 |                 |                |                 |
| <b>Financial liabilities at fair value through profit or loss</b>                                | <b>0.0</b>      | <b>0.0</b>      | <b>0.0</b>     | <b>0.0</b>      |
| - Borrowings and term deposits                                                                   | 0.0             | 0.0             | 0.0            | 0.0             |
| - Debts represented by securities                                                                | 0.0             | 0.0             | 0.0            | 0.0             |
| - Liabilities on securities                                                                      | 0.0             | 0.0             | 0.0            | 0.0             |
| - Other liabilities at fair value through profit or loss                                         | 0.0             | 0.0             | 0.0            | 0.0             |
| - Transaction derivatives                                                                        | 0.0             | 0.0             | 0.0            | 0.0             |
| of which currency exchange derivatives                                                           | 0.0             | 0.0             | 0.0            | 0.0             |
| <b>Hedging derivatives</b>                                                                       | <b>0.0</b>      | <b>19.8</b>     | <b>0.0</b>     | <b>19.8</b>     |
| - Fair value hedging                                                                             | 0.0             | 7.6             | 0.0            | 7.6             |
| - Cash flow hedging                                                                              | 0.0             | 0.0             | 0.0            | 0.0             |
| - Hedging of net foreign currency investments                                                    | 0.0             | 0.0             | 0.0            | 0.0             |
| - Total hedging restricted to fair value                                                         | 0.0             | 12.2            | 0.0            | 12.2            |
| <b>Debts owed to credit institutions and similar entities</b>                                    | <b>0.0</b>      | <b>18,612.7</b> | <b>0.0</b>     | <b>18,612.7</b> |
| <b>Debts owed to clients</b>                                                                     | <b>0.0</b>      | <b>2,119.8</b>  | <b>0.0</b>     | <b>2,119.8</b>  |
| <b>Debts represented by securities</b>                                                           | <b>41,201.5</b> | <b>0.0</b>      | <b>0.0</b>     | <b>41,201.5</b> |

There were no significant transfers between fair value levels 1 and 2 during the period.

| (in millions of euros)                                                                           | 31/12/2022      |                 |                |                 |
|--------------------------------------------------------------------------------------------------|-----------------|-----------------|----------------|-----------------|
|                                                                                                  | Level 1         | Level 2         | Level 3        | Total           |
| <b>ASSETS</b>                                                                                    |                 |                 |                |                 |
| <b>Financial assets at fair value through profit or loss</b>                                     | <b>226.1</b>    | <b>59.3</b>     | <b>6,701.1</b> | <b>6,986.5</b>  |
| - Bonds and fixed-income securities                                                              | 0.0             | 0.0             | 1,347.2        | 1,347.2         |
| - UCITS units                                                                                    | 226.1           | 59.3            | 377.2          | 662.6           |
| - Other assets at fair value through profit or loss                                              | 0.0             | 0.0             | 4,976.7        | 4,976.7         |
| - Transaction derivatives                                                                        | 0.0             | 0.0             | 0.0            | 0.0             |
| of which currency exchange derivatives                                                           | 0.0             | 0.0             | 0.0            | 0.0             |
| <b>Hedging derivatives</b>                                                                       | <b>0.0</b>      | <b>58.1</b>     | <b>0.0</b>     | <b>58.1</b>     |
| - Fair value hedging                                                                             | 0.0             | 0.0             | 0.0            | 0.0             |
| - Cash flow hedging                                                                              | 0.0             | 0.0             | 0.0            | 0.0             |
| - Hedging of net foreign currency investments                                                    | 0.0             | 0.0             | 0.0            | 0.0             |
| - Total hedging restricted to fair value                                                         | 0.0             | 58.1            | 0.0            | 58.1            |
| <b>Financial assets at fair value through equity</b>                                             | <b>7,814.6</b>  | <b>804.1</b>    | <b>6,608.8</b> | <b>15,227.5</b> |
| - Bonds and fixed-income securities                                                              | 944.2           | 632.0           | 0.0            | 1,576.2         |
| - Equities and other variable income securities                                                  | 6,870.4         | 172.1           | 6,608.8        | 13,651.3        |
| <b>Securities at amortised cost</b>                                                              | <b>7,391.3</b>  | <b>2,132.0</b>  | <b>0.0</b>     | <b>9,523.4</b>  |
| - Government bonds                                                                               | 7,391.3         | 75.4            | 0.0            | 7,466.8         |
| - Other bonds                                                                                    | 0.0             | 637.1           | 0.0            | 637.1           |
| - Negotiable debt instruments                                                                    | 0.0             | 1,419.5         | 0.0            | 1,419.5         |
| <b>Loans and receivables owed by credit institutions and similar entities, at amortised cost</b> | <b>935.3</b>    | <b>322.4</b>    | <b>0.0</b>     | <b>1,257.6</b>  |
| <b>Loans and receivables owed by clients, at amortised cost</b>                                  | <b>0.0</b>      | <b>45,736.9</b> | <b>0.0</b>     | <b>45,736.9</b> |
| <b>Finance leases and similar transactions, at amortised cost</b>                                | <b>0.0</b>      | <b>5,770.1</b>  | <b>0.0</b>     | <b>5,770.1</b>  |
| <b>LIABILITIES</b>                                                                               |                 |                 |                |                 |
| <b>Financial liabilities at fair value through profit or loss</b>                                | <b>0.0</b>      | <b>2.3</b>      | <b>0.0</b>     | <b>2.3</b>      |
| - Borrowings and term deposits                                                                   | 0.0             | 0.0             | 0.0            | 0.0             |
| - Debts represented by securities                                                                | 0.0             | 0.0             | 0.0            | 0.0             |
| - Liabilities on securities                                                                      | 0.0             | 0.0             | 0.0            | 0.0             |
| - Other liabilities at fair value through profit or loss                                         | 0.0             | 0.0             | 0.0            | 0.0             |
| - Transaction derivatives                                                                        | 0.0             | 2.3             | 0.0            | 2.3             |
| of which currency exchange derivatives                                                           | 0.0             | 0.0             | 0.0            | 0.0             |
| <b>Hedging derivatives</b>                                                                       | <b>0.0</b>      | <b>10.9</b>     | <b>0.0</b>     | <b>10.9</b>     |
| - Fair value hedging                                                                             | 0.0             | 7.6             | 0.0            | 7.6             |
| - Cash flow hedging                                                                              | 0.0             | 0.0             | 0.0            | 0.0             |
| - Hedging of net foreign currency investments                                                    | 0.0             | 0.0             | 0.0            | 0.0             |
| - Total hedging restricted to fair value                                                         | 0.0             | 3.3             | 0.0            | 3.3             |
| <b>Debts owed to credit institutions and similar entities</b>                                    | <b>0.0</b>      | <b>20,614.9</b> | <b>0.0</b>     | <b>20,614.9</b> |
| <b>Debts owed to clients</b>                                                                     | <b>0.0</b>      | <b>2,263.3</b>  | <b>0.0</b>     | <b>2,263.3</b>  |
| <b>Debts represented by securities</b>                                                           | <b>37,806.1</b> | <b>0.0</b>      | <b>0.0</b>     | <b>37,806.1</b> |

Quantitative information on unobservable inputs at 30 June 2023 (Level 3 fair value)

| Instruments concerned             | Valuation techniques used                                                                                                                                                                                                                                                                                                                                                          | Principal unobservable inputs                                                                                                               | Unobservable data intervals                                                                |
|-----------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|
| Unlisted shares                   | - Discounted free cash flow (DCF)<br>- Stock market multiples<br>- Transaction multiples<br>- Entry multiples<br>- Capital raising<br>- Cost of investment                                                                                                                                                                                                                         | 1. Budget and business plan<br>2. Company accounts and landing<br>3. Discount rate<br>4. Perpetual growth rate<br>5. Cost of the investment | 1. No interval<br>2. No interval<br>3. 5% to 20%<br>4. 0% to 5%<br>5. No interval          |
| FCPR                              | Valuation by fair value, thus:<br>- for listed securities: spot price or weighted average price on the day of the valuation with possible application of a discount for marketability/liquidity<br>- for unlisted securities: cost of the investment; multiples (stock market and/or transaction) with possible application of discounts for marketability, size and comparability | 1. Cost of the investment<br>2. Tradability discount<br>3. Size discount<br>4. Comparability discount<br>5. Cash flow at fund level         | 1. No interval<br>2. 0 to 20%<br>3. 0 to 30%<br>4. 0 to 30%<br>5. No interval              |
| Bonds convertible into shares     | - same valuation techniques as "Unlisted shares"<br>- Contractual clauses (e.g. quota)                                                                                                                                                                                                                                                                                             | 1. Nominal<br>2. Cash interest<br>3. Capitalised interest (PIK)<br>3. Non-conversion premium (NCP)<br>4. Quota                              | 1. No interval<br>2. 0% to 10%<br>3. 0% to 15%<br>4. Target IRR of 0-20%<br>4. 0% to 100%" |
| Share subscription warrants (BSA) | - same valuation techniques as "Unlisted shares"<br>- Contractual clauses (e.g. quota)                                                                                                                                                                                                                                                                                             | 1. Budget and business plan<br>2. Company accounts and landing<br>3. Discount rate<br>4. Perpetual growth rate<br>5. Quota                  | 1. No interval<br>2. No interval<br>3. 5% to 20%<br>4. 0% to 5%<br>5. 0% to 100%"          |

Change in the balance of financial instruments measured at fair value under Level 3

|                                         | 30/06/2023                                            |                                               |                 |
|-----------------------------------------|-------------------------------------------------------|-----------------------------------------------|-----------------|
|                                         | Financial assets at fair value through profit or loss | Financial assets at fair value through equity | Total           |
| (in millions of euros)                  |                                                       |                                               |                 |
| <b>Balance at 1 January</b>             | <b>6,701.1</b>                                        | <b>6,608.8</b>                                | <b>13,309.9</b> |
| Gains/losses for the period             | -32.4                                                 | 113.8                                         | 81.3            |
| <i>Recognised in profit or loss (*)</i> | -32.4                                                 | 0.0                                           | -32.4           |
| <i>Accounted in equity</i>              | 0.0                                                   | 113.8                                         | 113.8           |
| Perimeter entry                         | 0.0                                                   | 0.0                                           | 0.0             |
| Purchases for the period                | 523.3                                                 | 396.1                                         | 919.4           |
| Sales for the period                    | -245.8                                                | -178.7                                        | -424.5          |
| Emissions for the period                | 0.0                                                   | 0.0                                           | 0.0             |
| Outcomes for the period                 | 0.0                                                   | 0.0                                           | 0.0             |
| Reclassifications for the period        | 0.0                                                   | 0.0                                           | 0.0             |
| Transfers                               | 0.0                                                   | 0.0                                           | 0.0             |
| <i>To level 3</i>                       | 0.0                                                   | 0.0                                           | 0.0             |
| <i>Outside level 3</i>                  | 0.0                                                   | 0.0                                           | 0.0             |
| <b>Balance at 30 June 2023</b>          | <b>6,946.1</b>                                        | <b>6,940.0</b>                                | <b>13,886.1</b> |

(\*)Gains and losses from financial assets held in the balance sheet at the balance sheet date amount to EUR -32.4 million recognised in "Net gains or losses on financial instruments at fair value through profit or loss" of which EUR -19.7 million on the revaluation of bonds and fixed income securities and EUR -12.7 million on equity financial instruments.

Fair value sensitivity of Level 3 financial instruments

Since the estimation of the fair value of Level 3 financial instruments requires judgement, a change in the assumptions of unobservable inputs would result in a significant change in this fair value.



At 30 June 2023, an upward change of 1% in the valuation of the portfolios of assets measured at fair value through profit or loss and of assets measured at fair value through equity would have an impact on the profit and loss statement and on shareholders' equity of respectively €51.5m and €67.2m. A downward change of 1% would have an impact on the profit and loss statement and on shareholders' equity of -€51.5m and -€69.4m respectively.



## **IV. STATUTORY AUDITORS' REPORT ON THE 2023 HALF-YEAR FINANCIAL INFORMATION**

### **Bpifrance**

A French Société anonyme (public limited company) with a share capital of 5,440,000,000 euros  
Registered office: 27-31 avenue du Général Leclerc, 94700 Maisons-Alfort Cedex  
Trade and Companies Register No.: 320 252 489

Report on the statutory auditors' limited review of the condensed  
half-year consolidated financial statements

Period from 1 January 2023 to 30 June 2023



PricewaterhouseCoopers  
Audit 63, rue de Villiers  
92208 Neuilly-sur-Seine  
Cedex France

KPMG AUDIT FS I  
Tour EQHO  
2 Avenue Gambetta  
CS 60055  
92066 Paris la Défense Cedex  
France

Report on the statutory auditors' limited review of the condensed half-year consolidated financial statements

(Period from 1 January 2023 to 30 June 2023)

To the shareholders  
Bpifrance  
27-31 avenue du Général Leclerc 94700 Maisons-Alfort

In our capacity as statutory auditors of Bpifrance and in response to your request, we have performed a limited review of the accompanying condensed half-year consolidated financial statements for the period from 1 January 2022 to 30 June 2023, as attached to the current report.

These condensed half-year consolidated financial statements have been prepared under the responsibility of the Board of Directors. It is our responsibility to express our conclusion on these financial statements based on our limited review.

We performed our limited review in accordance with professional standards applicable in France.

A limited review consists principally of making inquiries of persons responsible for financial and accounting matters and applying analytical procedures. A limited review is substantially less in scope than an audit performed in accordance with professional standards applicable in France. Consequently, the assurance that the accounts, taken as a whole, are free of material misstatements obtained in the context of a limited review is a moderate assurance, lower than that obtained in the context of an audit.

Based on our review, nothing has come to our attention that causes us to believe that the accompanying condensed interim consolidated financial statements are not prepared, in all material respects, in accordance with IAS 34, the standard of the IFRS as adopted by the European Union applicable to interim financial information.

In Neuilly-sur-Seine and Paris La Défense, 2 October 2023

The Statutory Auditors

PricewaterhouseCoopers Audit

KPMG AUDIT FS I

Pierre Clavié

Nicolas Bourhis



## V. PERSON RESPONSIBLE FOR THE HALF-YEAR CONSOLIDATED FINANCIAL STATEMENTS

### Responsible person

Mr Arnaud CAUDOUX: Executive Director

### Statement by the person responsible

I certify that, to my knowledge, the reviewed financial statements for the past six months were prepared in accordance with the applicable accounting standards and provide a true and fair view of the assets, financial position and results of the company and all companies within the consolidation scope, and that the half-year business report on pages 3 to 24 presents a fair overview of major events that have occurred during the first six months of the year, their impact on the financial statements, and a description of the main risks and uncertainties for the remaining six months of the year.

Maisons-Alfort, 2 October 2023



**Bpifrance**

A French limited liability company (société anonyme) with a Board of Directors  
With a share capital of €5,440,000,000  
320 252 489 RCS CRETEIL

**Registered office**

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